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China Internet

2Q26 Wrap & 2H26 Outlook: AI vs. Non-AI Prospects & Debates

CITI'S TAKE

The China Internet sector's 2Q26 results were generally softer than 1Q26 reflecting weaker macro activities and disruptions from AI-generated content, compounded by higher opex, a spike in capex, and negative FX impact. The sector continues to underperform with YTD returns -19.8% vs. Japan's +15.6%, India's +1.5%, the US's -6.5%, Korea's -9.9%, SEA's -23.2% vs. KOSPI at +62.2%, Nikkei +31.5%, S&P 500 +12.3%, HSI -1.2%, while Nifty -8.0%. Key highlights in 2Q26 were significant improvement in Chinese AI models, alongside a spike in capex and negative FCF from hyperscalers. For 2H26, we anticipate Chinese AI labs to work on larger models (3T+), which should further validate monetization through open platforms. However, continued macro softness is likely to dampen advertising, e-commerce and local services outlook. Sentiment will probably remain muted pending catalysts from agentic AI breakthrough. Our preferred picks are Tencent, BABA, Meituan, PDD, YMM, and Meitu.

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Notable takeaways from 2Q26 print — The significant spike in capex that further weighed on negative FCF has concerned investors, despite companies attributing it to procurement timing fluctuations. While internal AI tools are boosting operational efficiency, the corresponding rise in token consumption is dragging OpM, particularly for smaller/mid-size companies that are rapidly applying AI to their operations. A significant leap in model intelligence from Chinese open-weight models like Qwen3.8 Max and Kimi K3 is making them increasingly attractive to foreign enterprises. AI-generated content is further disrupting the video and music ecosystem, though it helps validate the monetization of video models like Hailuo 3 and Kling. While intense, subsidy-driven food delivery competition continues to rationalize, the incremental improvement in UE is narrowing on a sequential basis. Continued soft macro and shift in ad budgets towards more interactive formats are forcing companies to invest in AI-empowered ad tools to stay competitive.

3Q/4Q26 trends: spending in AI vs. non-AI — 1) We anticipate Chinese AI labs to advance towards 3-5T models, narrowing the performance gap with US frontier labs and shift focus from benchmarks to practical applications, user adoption, and revenue. 2) While compute power will likely remain constrained, wider enterprise adoption and a greater mix of domestic hardware will help lower AI token costs for the industry. 3) With the macro environment expected to be muted, the next competitive battleground for ecommerce is emerging in supply-chain capabilities. 4) A larger batch of approved new game licenses could support a resilient gaming outlook, offsetting AI's disruptive impact on video and music. 5) cost optimization through AI adoption is expected to drive headcount and opex savings by year-end.

2Q/1H26 wrap & 3Q/2H26 outlook — Of the 57 internet companies that have reported 2Q/1H26 results, 24/30 delivered revs/earnings beats, 17/12 reported in-line revs/earnings and 16/15 missed revs/earnings. In terms of 3Q26 guidance, 2/2/2 companies beat/flat-lined/missed on rev; on profit, 1/1 guided profit beat/missed.

Investment risks — Soft China macro, geopolitical conditions, tightened regulations, capex investments and negative FCF and source of fund risk rotation.

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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Contents

2H26E Outlook: AI vs. Non-AI	3
China Internet sector: Performance and valuation	3
YTD share price performances: US still outperforms China	4
AI vs. non-AI trends, prospect & debate into 2H26	6
2H26 Sector Preferred Picks	8
2Q26/1H26 Results Wrap	10
2Q26 results wrap: More misses vs. last quarter	10
Shareholder Returns	11
Highlights Across Sub-sectors	13
AI, cloud and token usage	13
Food delivery: Loss narrowing yoy as subsidies scale back	19
Ecommerce: Softer trend in 2Q26 vs. 1Q26; 2H26E muted	19
Ad revs growth faces weak macros & high base	20
Online gaming: More resilient earnings than expected	21
Entertainment sector impacted by AI-generated content	22
Travel sees pressure from soft macros and bad weather	23
Unexciting logistics demand into 2H26E but pricing steady	24
China Internet Comps	25
Share Price Performance	26
Appendix A-1	29

2H26E Outlook: AI vs. Non-AI

A quarter ago, we noted in our [1Q26 wrap report](#) in early June that despite a relatively solid 1Q26 print, we observed that China internet sector was being treated as a “source of fund” for investors chasing the global AI hardware momentum. The [sell-off](#) intensified throughout June, with persistent sell-off creating a compelling valuation opportunity that we believed was approaching a floor, as discussed in our June 26th report, [China Internet - Assessing Valuation Floor Vs Earnings Downside Sensitivity](#). In July, we witnessed a rotation out of hardware companies and back into the internet and non-hardware sectors. The China Internet sector rebounded by 3.9% in July, with Meituan, JD, Alibaba, and Tencent's share prices rebounding by +35%/+25.5%/+24.8%/+10.6%, respectively. Nevertheless, as the 2Q26 results season began in August, the fund flow started to shift back to hardware. The China Internet sector once again became a source of funds, particularly after Tencent reported a spike in capex and negative free cash flow in 2Q26.

2Q26 results were generally softer than expected with higher number of companies reporting profit misses, management commentary from companies like Meituan, Weibo, Kuaishou, etc., indicating that margins for 3Q26/2H26 are expected to decline from 2Q26 levels. Exacerbating these company-specific concerns are external pressures, including the possibility of heightened regulatory policies in September and hawkish commentary from the U.S. Federal Reserve on interest rates. For the above reasons, we believe the China Internet sector could once again become a popular “source of fund” for investors in September, repeating the pattern observed in June. However, we anticipate that any potential sell-down could be less severe than what the market experienced in June as more investors’ concern over the crowded hardware trade, coupled with a growing recognition of the valuation floor for China Internet stocks, is likely to entice a return to the sector. More importantly, while near-term catalysts may be limited, we view the upcoming AlibabaCloud Apsara Conference on September 22-24 as a potential positive catalyst for the cloud and AI sector.

China Internet sector: Performance and valuation

An analysis of the three-months’ average trading volume for leading Chinese internet companies highlights a persistent weakness in their American Depositary Receipts (ADRs) compared to their Hong Kong-listed and dual-listed counterparts. We believe this disparity suggests that the appetite from US-based investors for the China Internet sector remains low. Despite this cautious investor sentiment and increased cash outflows for the current capex cycle, many of these companies maintain robust balance sheets with substantial cash reserves and expanding investment portfolios. Consequently, when valued on an ex-cash basis, many of these firms present an appealing investment case.

Lack of catalysts before Apsara conference and preview season

Following a weaker 2Q26 performance and amid increased corporate spending on both AI and supply-chain infrastructure, investor concerns are mounting over profit growth and free cash flow stability. Furthermore, this year September is coupled with heightened uncertainty regarding potential policy and regulatory actions and geopolitical event (upcoming Xi-Trump meeting in Sept in the US). We believe investors are likely to adopt a wait-and-see approach rather than a more aggressive constructive outlook. Consequently, we anticipate fund flow rotations will likely treat the China Internet sector as a source of funding with the trend expected to persist until major catalysts emerge, such as the Alibaba Cloud Apsara conference on September 22-24 and the subsequent preview season in early October.

Figure 1. 3-M average turnover yoy comparison and PE multiple changes for key internet names

Company	Ticker	3M Avg Turnover USD\$m			1-yr Fwd P/E(based on Citi est)		
		Aug 31 2026	Aug 31 2025	yoy%	Aug 31 2026	Aug 31 2025	%
Tencent Holdings	0700.HK	1,823	1,262	44%	12.9	17.5	-26%
Alibaba Group Holding	BABAN	1,458	1,650	-12%	13.3	16.5	-19%
	9988.HK	1,524	1,266	20%	13.3	16.5	-19%
PDD Holdings Inc	PDD.O	620	823	-25%	6.1	9.2	-34%
NetEase	NTES.O	116	106	9%	12.1	15.6	-22%
	9999.HK	220	166	32%	12.1	15.6	-22%
Meituan	3690.HK	554	902	-39%	20.9	na	na
Baidu.com	BIDU.O	281	323	-13%	13.5	11.3	19%
	9888.HK	163	109	50%	13.5	11.3	19%
JD.com	JD.O	240	316	-24%	7.1	8.4	-15%
	9618.HK	152	234	-35%	7.1	8.4	-15%
Trip.com Group Ltd	T COM.O	135	179	-24%	10.4	17.3	-40%
	9961.HK	122	155	-21%	10.4	17.3	-40%
Kuaishou	1024.HK	339	408	-17%	12.6	12.9	-2%
Bilibili	BILI.US	44	70	-37%	13.6	26.3	-48%
	9626.HK	76	131	-42%	13.6	26.3	-48%
Index							
Hang Seng Index		14,246	12,996	10%			
Nasdaq Index		148,398	88,809	67%			

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Source: Bloomberg, Citi Estimates; 2026 1-yr Fwd P/E refers to FY2027E P/E; 2025 1-yr Fwd P/E refers to FY2026E P/E, based on Citi estimate; data as of Sep, 1, 2026.

Figure 2. Ex-cash PE ratios by major internet companies

Companies	Market cap (US\$ bn)	Net cash as of 2Q26 (US\$ bn)	Net cash as % of market cap	FY26E PE	FY27E PE	FY28E PE	FY26E PE (ex-net cash)	FY27E PE (ex-net cash)	FY28E PE (ex-net cash)	FY26E PS	FY27E PS	FY28E PS	FY26E EV/EBITDA	FY27E EV/EBITDA	FY28E EV/EBITDA
Tencent	512.5	8.6	1.7%	12.97	12.61	11.56	12.75	12.40	11.37	4.21	3.86	3.54	7.06	5.26	4.88
Alibaba	280.5	30.3	10.8%	20.23	13.16	10.80	18.05	11.74	9.64	1.65	1.46	1.26	8.98	6.99	5.86
PDD	118.4	67.3	56.8%	7.88	6.05	5.16	3.40	2.61	2.23	1.76	1.61	1.47	2.00	0.73	na
NetEase	76.9	24.7	32.1%	13.17	11.95	11.01	8.94	8.11	7.47	4.27	4.13	3.90	7.93	7.97	7.24
Meituan	59.6	11.7	19.6%	na	20.30	12.92	na	16.31	10.39	0.96	0.85	0.78	22.54	7.65	4.10
JD.com	34.8	12.8	36.8%	7.83	7.01	6.31	4.95	4.43	3.99	0.20	0.18	0.18	na	na	na
Baidu	33.8	26.4	78.2%	17.11	13.44	11.59	3.73	2.93	2.53	1.74	1.66	1.57	2.15	2.90	2.58
Kuaishou	19.1	13.9	72.7%	14.59	13.02	11.48	3.98	3.55	3.13	0.95	0.93	0.89	5.09	5.06	4.46
Tencent Music Entertainment	13.0	4.1	31.4%	8.93	8.41	7.21	6.12	5.77	4.95	2.48	2.27	2.09	3.81	3.29	2.37
Full Truck Alliance	8.8	4.9	55.5%	11.41	9.54	8.04	5.08	4.25	3.58	4.71	4.58	3.89	5.43	3.98	2.61
Kanzhun	8.3	2.8	33.7%	13.78	11.71	10.27	9.14	7.77	6.81	5.96	5.39	4.92	9.18	7.12	5.27
VIPShop	6.3	3.3	52.5%	6.36	5.10	4.88	3.03	2.42	2.32	0.42	0.40	0.39	1.24	0.52	0.02
JOYY	3.6	3.1	85.5%	14.64	11.57	10.05	2.12	1.68	1.46	1.55	1.38	1.24	4.18	1.91	0.92
Tongcheng Travel	3.5	1.6	45.2%	6.56	5.84	5.26	3.59	3.20	2.88	1.16	1.08	1.01	3.03	2.19	1.39
Autohome	2.5	2.9	113.9%	18.19	18.30	17.63	-ve	-ve	-ve	3.57	3.72	3.79	na	na	na
Weibo	1.7	0.8	47.9%	5.84	6.07	5.82	3.04	3.16	3.03	1.11	1.12	1.07	na	na	na
iQiyi	0.9	-1.4	-160.5%	na	na	na	na	na	na	0.23	0.23	0.22	2.01	1.60	1.31
Sector average				11.97	10.88	9.37	6.28	6.02	5.05	2.17	2.05	1.89	6.04	4.08	3.31

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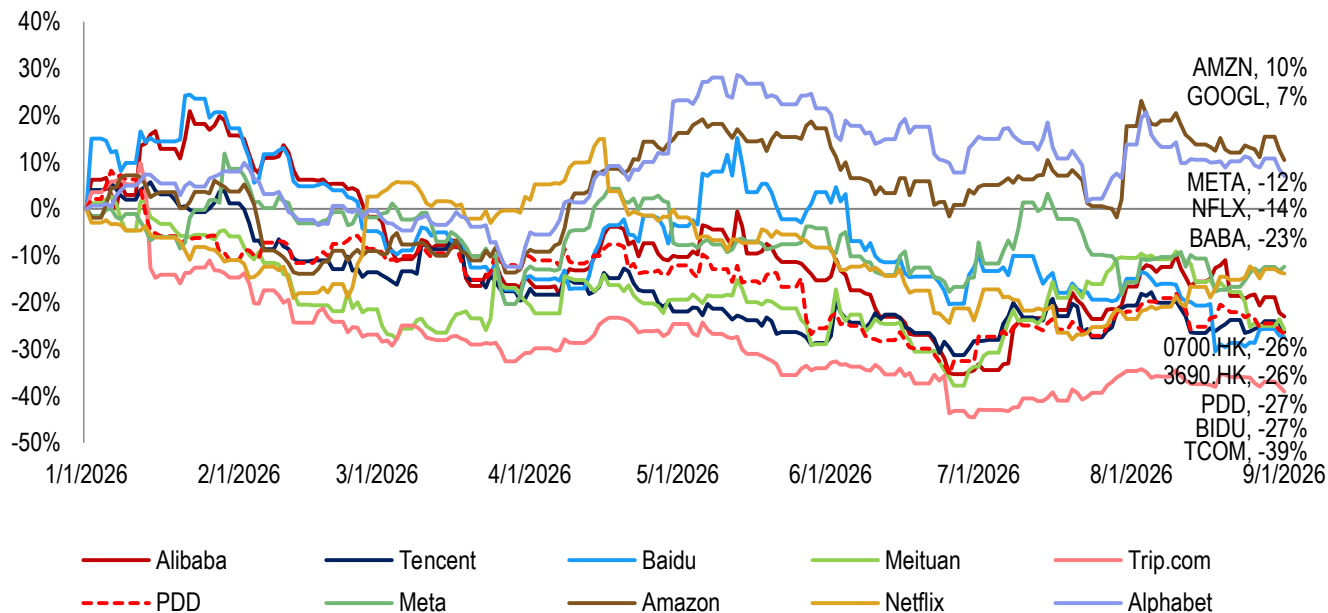
Source: dataCentral, Citi Research, data as of Sep 1, 2026, close, Note: multiples of Alibaba refers to FY27-29E, net cash of JD excludes net cash from its subsidiaries.

YTD share price performances: US still outperforms China

China's Internet sector comes with a negative YTD return at -19.8% compared with Japan's +15.6%, India's +1.5%, the US's -6.5%, Korea's -9.9%, SEA's -23.2%. By contrast, KOSPI has risen +62.2%, Nikkei +31.5%, S&P 500 +12.3%, HSI -1.2%, while Nifty is down -8.0%. All large China internet names are incurring negative

return YTD while in the US Amazon and Alphabet outperform at positive YTD return.

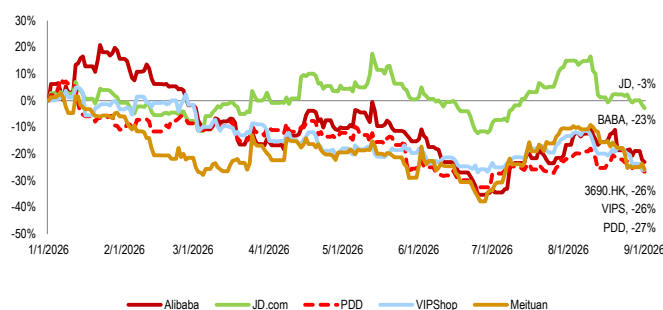
Figure 3. YTD price performance of the ATM stocks, TCOM, PDD and US internet stocks



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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close, ATM = Alibaba, Tencent and Meituan.

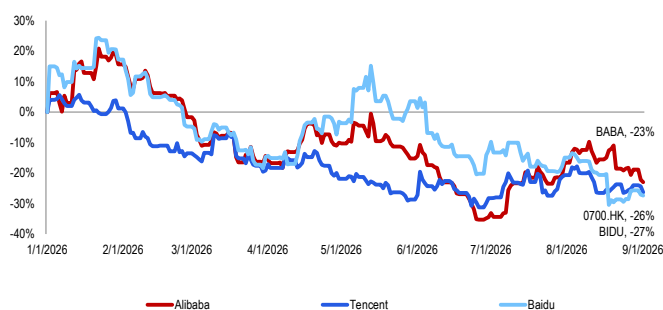
Figure 4. YTD price performance of e-commerce companies



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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close.

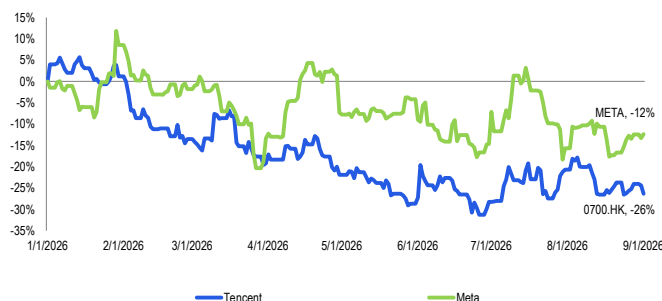
Figure 5. YTD price performance of Tencent, Baba and Baidu



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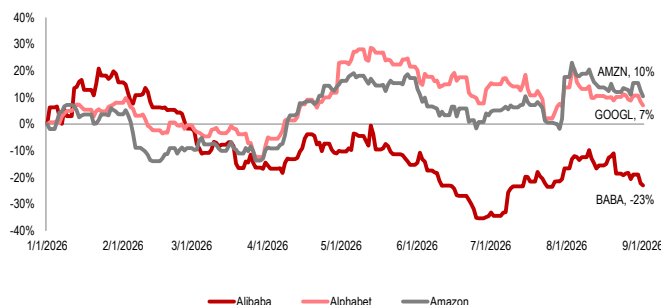
Source: dataCentral, Citi Research, data as of Sep 1, 2026, close.

Figure 6. YTD price performance of Tencent and Meta



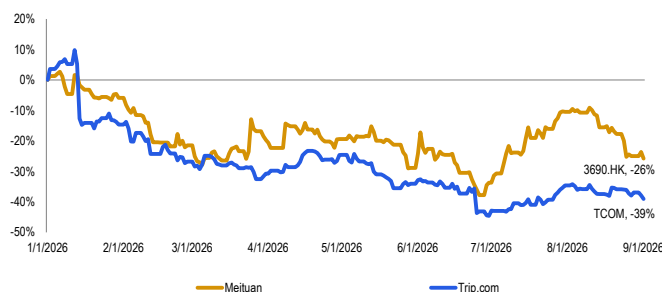
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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close.

Figure 7. YTD price performance of Ali, Alphabet and AMZN



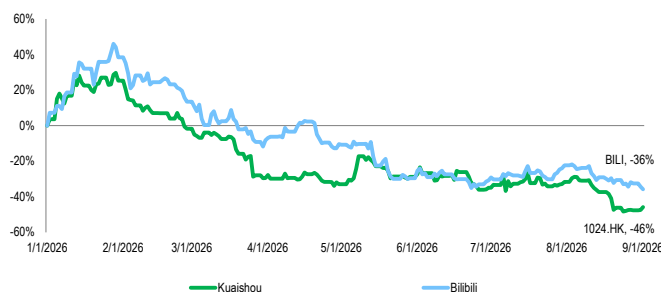
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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close.

Figure 8. YTD price performance of TCOM and Meituan



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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close.

Figure 9. YTD price performance of Kuaishou and Bilibili



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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close.

AI vs. non-AI trends, prospect & debate into 2H26

1. The further push for advanced AI models

In the upcoming quarters, we anticipate significant push from Chinese AI labs to develop and deploy models in the 3-5 trillion parameter range. This strategic effort aims to narrow the existing performance gap with leading US frontier labs, marking a critical phase in the global AI race. In addition, we believe some AI labs will also aim to pivot from achieving high scores on theoretical benchmarks to demonstrating tangible value through practical, real-world applications. Success will increasingly be measured by user adoption rates, the ability to integrate these models into existing products and services, and, more importantly, the generation of actual revenue through APIs, enterprise solutions, and enhanced consumer-facing features.

2. Navigating compute constraints and reducing costs

While the availability of high-end compute power is expected to remain a constraint for the industry, the wider adoption of AI technologies across various enterprises will create economies of scale, distributing the cost of infrastructure and development and driving down unit economic cost. Second, a strategic shift towards a greater mix of domestic hardware will reduce reliance on foreign suppliers and associated geopolitical risks. And third, the continued effort by AI labs and Chinese hyperscalers to optimize the inference cost should also help lower average token cost as the adoption further ramp rapidly. Together, we expect,

these factors to drive down the per-unit cost of AI processing (token costs), making AI applications more economically viable for a broader range of businesses.

3. Strengthening supply chain as the new competitive battleground

With the broader macroeconomic environment likely to remain muted, 2H26 outlook for advertising, ecommerce and local services and travel is likely to experience lackluster growth or even flattish or declining yoy trend. In the meantime, many companies will also push for internal adoption of AI to drive productivity efficiency gain which we believe could lead to short-term spike in AI token consumption cost that will weigh on margins short term before we see cost optimization effort materialize.

On the other hand, supply-chain capabilities are emerging as the next critical battleground for competition. For example, while PDD does not spend much in AI investment, it is deepening investment in supply-chain capabilities and logistic fulfillment, which essentially is validating JD's existing strength and capabilities. In addition, in order to broaden its SKU offering to complement its on-demand delivery of non-food categories, Meituan has been investing in expanding its Xiaoxiang supermarket initiative to boost its 1P offering to complement its 3P platform, in order to better compete with BABA's Fresh Hippo complementary cross-selling synergies to Taobao Shangou. We believe companies that can build more resilient, efficient, and intelligent supply chains by leveraging technology to optimize logistics, inventory management, and fulfillment will gain a significant competitive advantage. We believe core operational competencies will also be essential for navigating a period of slower economic growth and maintaining profitability.

4. Gaming sector resilience amidst AI disruption in other digital content

We believe the outlook for the gaming sector remains resilient, supported by the recent approval of a larger batch of new game licenses - [China Internet - August 2026 Games Approval Batch: 209/6 Domestic/Imported; One for Tencent](#). We believe the supportive regulatory green light provides a clear and predictable path to revenue generation, which is crucial in the current soft macro backdrop. We believe stability in the gaming industry serves as a valuable hedge against the more disruptive impacts of generative AI being felt in video and music sectors. While AI is creating new forms of content and challenging traditional business models in those areas, the structured and regulated nature of the gaming market offers a more stable growth trajectory for the near term, which should be viewed as defensive for investors who look for portfolio volatility protection.

5. AI-driven cost optimization and efficiency gains

We believe a primary driver of enterprise AI adoption in the latter half of the year will be the pursuit of significant cost optimization. We expect companies to increasingly leverage AI to automate internal processes, streamline workflows, and enhance productivity. This will manifest in various forms, from using AI-powered tools to write code and analyze data to deploying intelligent agents for customer service and back-office support. We believe these initiatives will lead to measurable headcount and opex savings by the end of the year, which could potentially translate to bottom-line improvement as we head into 2027.

Despite higher capital expenditure draining cash flows, we believe the aggressive investment in AI is justified and will prove to be a necessary strategic move, both defensively and offensively. Given that compute power remains constrained and high barriers to entry exist for creating full-stack AI from scratch, we are convinced that companies with deep, layered AI capabilities will prevail.

Against this backdrop, our preferred picks are Tencent, for its agentic systems, and Alibaba, for its comprehensive full-stack AI capabilities and valuation upside. We view the recent pullback of Meituan's share price as an attractive entry point for longer-term investors and consider PDD's valuation to be fundamentally attractive. Additionally, we like YMM for its growth prospects and Meitu for its AI application products.

- 8

management's focus on high-quality, AI-powered growth will enable the company to navigate ongoing macroeconomic and competitive challenges. While near-term catalysts may seem limited post-2Q26 results, with the share price still trading approximately 26% lower, its valuation appears undemanding at 16.5x our 2027 ex-cash estimate. We believe this provides a compelling reason for long-term funds to revisit the company's investment thesis.

- **PDD (PDD.O; US\$136)**- We view PDD's shares as undervalued. The stock is currently trading at 8.1x and 6.2x our 2026 and 2027 P/E estimates, respectively (or 3.6x and 2.8x on an ex-cash basis), with net cash accounting for approximately 55% of its current market capitalization. We believe the low valuation reflects concerns over the company's limited disclosure, lack of communication, and shareholder-unfriendly practices. This quarter's earnings call largely echoed the previous quarter's message, emphasizing investment in the supply chain and fulfillment/logistics while showing no interest in quick commerce. However, we sense that management has placed less emphasis on domestic competition, while still reiterating the importance of compliance, governance, and geopolitical headwinds. More importantly, the absence of the usual commentary that "previous profit is not indicative of future profit and profitability may fluctuate" from this quarter's earnings call is a positive read-through. This could suggest that the company is positioned to deliver a gradually improving profitability trend. Therefore, we see this as a contrarian Buy opportunity and maintain our target price of US\$136, based on a 10x multiple of our 2027 earnings estimate.
- **Full Truck Alliance (YMM; Buy; TP US\$14)**: Despite ST incentives towards truckers and slower order volume growth amid macro softness and extreme weather impacts, we see decent earnings visibility ahead for FTA and still believe its order volume is likely to accelerate into 4Q26E thanks to easier comps. More importantly, we expect the company to sustain its commission revs growth during 2027-28E with take rate ramp-up, resulting in solid earnings growth momentum. With PE merely at 11.4/9.5x for 2026/27E (or 5.5/4.6x ex-cash PE), 4.6% shareholder return yield and decent earnings growth, we maintain Buy rating with a TP of US\$14.
- **Meitu (1357.HK; Buy/H; TP HK\$7)**: Meitu's growth will benefit from AI-driven consumption which will grow blended ARPU, faster release of new products, and effective cost optimization benefiting from internal AI usage, all of which will drive profit growth. In our view Meitu is the quality China AI application player with 24% 2026-28E earnings CAGR and 40% dividend payout program. With current 2026E P/E at 13.7x and improving sentiment on global software companies, we maintain Buy/H with a TP of HK\$7.0.

Figure 10. Valuation summary for Citi's internet top picks

Top pick	Market cap (US\$ bn)	P/E		P/S		EV/EBITDA		FCF yield (%)		ROE (%)	
		2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E	2026E	2027E
Tencent	512,451	13.0	12.6	4.2	3.9	7.1	5.3	5.9	7.4	18.4	17.5
Alibaba	280,503	20.2	13.2	1.7	1.5	9.0	7.0	-3.6	2.0	7.0	11.7
PDD	118,384	7.9	6.1	1.8	1.6	2.0	0.7	12.5	17.9	21.3	22.3
Meituan	59,647	na	20.3	1.0	0.9	22.5	7.6	-4.4	8.1	-1.6	6.9
Full Truck Alliance	8,830	11.4	9.5	4.7	4.6	5.4	4.0	3.5	7.2	11.0	11.9
Meitu	2,804	14.1	11.0	4.0	3.3	9.0	6.1	8.7	9.9	20.9	23.3

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Source: dataCentral, Citi Research, data as of Sep 1, 2026, BABA is based on its fiscal year.

2Q26/1H26 Results Wrap

2Q26 results wrap: More misses vs. last quarter

Of the 57 major internet companies in our universe that have reported 2Q26 results, 24 delivered revenue beats and 30 reported earnings beats; 17 reported in-line 2Q26 revenues and 12 in-line earnings; 16 missed on revenues and 15 missed on earnings. Of the companies that have provided revenue guidance, 2/2/2 companies guided for 3Q26 revenues that beat/in line/missed expectations. One provided profit guidance beat while one missed.

Figure 11. 2Q26 results and 3Q26 guidance

Company name	Reuters Ticker	2Q26 (A)		3Q26E guidance		Share price performance			
		Revenues	Earnings	Revenues	Earnings	1-Week	1-Month	3-Month	YTD
Alicia Yap, CFA									
Alibaba	BABA.N	Inline	Miss	N/A	N/A	-5.8%	-7.7%	-13.7%	-23.0%
Tencent	0700.HK	Beat	Inline	N/A	N/A	-0.9%	-7.1%	-8.3%	-26.3%
Baidu	BIDU.O	Miss	Miss	N/A	N/A	1.7%	-14.6%	-30.6%	-27.4%
MiniMax (half-yearly)	0100.HK	Beat	Miss	N/A	N/A	11.2%	46.1%	-49.5%	na
Meituan	3690.HK	Beat	Beat	N/A	N/A	-1.8%	-17.1%	-10.4%	-25.8%
NetEase	NTES.O	Beat	Miss	N/A	N/A	-2.7%	-9.9%	-3.8%	-12.8%
JD.com	JD.O	Beat	Beat	N/A	N/A	-3.0%	-15.5%	-7.5%	-2.8%
PDD	PDD.O	Miss	Beat	N/A	N/A	-4.1%	-6.1%	-5.7%	-26.7%
Tencent Music Entertainment	TME.N	Beat	Beat	N/A	N/A	-5.8%	-12.3%	-12.8%	-52.7%
Vipshop Hldgs	VIPS.N	Inline	Miss	Miss	N/A	-7.0%	-14.6%	-9.7%	-25.9%
Baozun	BZUN.O	Inline	Miss	N/A	N/A	-2.8%	-4.5%	2.2%	3.0%
Weibo	WB.O	Beat	Beat	N/A	N/A	-3.4%	-16.6%	-15.3%	-33.5%
Sohu	SOHU.O	Beat	Beat	Inline	Miss	-2.0%	0.1%	0.0%	-11.3%
DiDi Global	DIDIY.PK	Inline	Beat	N/A	N/A	-4.9%	3.1%	-4.7%	-30.9%
CaoCao (half-yearly)	2643.HK	Miss	Inline	N/A	N/A	1.1%	-5.1%	-58.5%	-53.1%
Sea	SE.N	Beat	Beat	N/A	N/A	-5.4%	5.5%	20.9%	-11.7%
Grab	GRAB.O	Beat	Beat	Beat	Beat	-4.9%	-1.1%	-3.9%	-30.7%
Brian Gong									
Kuaishou	1024.HK	Inline	Inline	N/A	N/A	3.0%	-20.7%	-29.3%	-45.8%
Tongcheng Travel	0780.HK	Inline	Inline	N/A	N/A	-2.8%	-17.5%	-21.0%	-47.5%
Bilibili	BILI.O	Inline	Beat	N/A	N/A	-2.2%	-17.3%	-15.3%	-35.8%
Joyy	JOYY.O	Beat	Beat	N/A	N/A	-1.0%	0.6%	7.8%	14.3%
Kanzhun	BZ.O	Inline	Inline	Inline	N/A	-6.8%	7.8%	19.7%	-13.9%
Autohome	ATHM.N	Beat	Beat	N/A	N/A	-0.3%	-4.8%	20.4%	-0.7%
Full Truck Alliance	YMM.N	Beat	Beat	Beat	N/A	-3.5%	-10.3%	-10.5%	-20.7%
JD Logistics	2618.HK	Inline	Inline	N/A	N/A	-2.3%	-27.0%	-19.2%	-3.9%
SF Holdings	002352.SZ	Miss	Inline	N/A	N/A	-4.3%	-8.2%	-7.9%	-16.2%
J&T Express (half-yearly)	1519.HK	Beat	Beat	N/A	N/A	-3.3%	-4.0%	6.2%	-7.3%
STO Express	002468.SZ	Miss	Beat	N/A	N/A	0.4%	-0.1%	-4.6%	4.9%
YTO Express	600233.SS	Inline	Miss	N/A	N/A	-0.5%	-10.6%	-5.5%	2.7%
ZTO Express	ZTO.N	Beat	Beat	N/A	N/A	-1.2%	-12.3%	-6.8%	0.8%
Yunda	002120.SZ	Miss	Beat	N/A	N/A	3.4%	-0.1%	0.6%	2.5%
Youdao	DAO.N	Miss	Beat	N/A	N/A	-2.4%	-2.4%	41.7%	62.6%
Kingsoft Cloud	KC.O	Beat	Beat	N/A	N/A	0.1%	-8.2%	-25.3%	-1.0%
Vicky Wei, CFA									
iQiyi	IQ.O	Miss	Miss	N/A	N/A	-8.0%	-28.8%	-20.0%	-52.9%
Mango Excellent Media	300413.SZ	Miss	Miss	N/A	N/A	44.4%	24.5%	17.0%	-16.5%
China Literature (half-yearly)	0772.HK	Inline	Miss	N/A	N/A	5.6%	6.6%	-15.9%	-34.6%
Maoyan Entertainment (half-yearly)	1896.HK	Inline	Inline	N/A	N/A	1.9%	-4.2%	-23.6%	-37.6%
Meitu (half-yearly)	1357.HK	Miss	Beat	N/A	N/A	11.9%	3.0%	-13.1%	-30.6%
Yixin (half-yearly)	2858.HK	Beat	Beat	N/A	N/A	-8.1%	-11.6%	-24.5%	-52.7%
Zhihu	ZH.N	Miss	Beat	N/A	N/A	-15.3%	-20.2%	-14.1%	-20.4%
Focus Media	002027.SZ	Miss	Beat	N/A	N/A	-0.4%	-11.7%	-10.6%	-32.7%
Weimob (half-yearly)	2013.HK	Miss	Miss	N/A	N/A	2.0%	-15.0%	-33.3%	-44.6%
Youzan (half-yearly)	6051.HK	Miss	Miss	N/A	N/A	1.6%	-8.5%	-33.8%	-55.2%
Nelson Cheung									
SF Intra City (half-yearly)	9699.HK	Inline	Beat	N/A	N/A	4.1%	0.2%	-2.6%	-22.0%
Newborn Town (half-yearly)	9911.HK	Inline	Beat	N/A	N/A	-3.0%	5.7%	-1.1%	-23.0%
Huya	HUYA.N	Inline	Beat	N/A	N/A	-3.7%	-14.3%	-18.1%	-22.6%
Douyu	DOYU.O	Beat	Beat	N/A	N/A	0.0%	-5.6%	-17.7%	-35.9%
So-Young	SY.O	Beat	Beat	Miss	N/A	14.2%	48.9%	30.5%	7.0%
Kingsoft	3888.HK	Beat	Beat	N/A	N/A	2.5%	-6.3%	6.5%	-11.8%
XD (half-yearly)	2400.HK	Beat	Miss	N/A	N/A	-2.5%	-13.0%	-27.3%	-36.2%
IGG (half-yearly)	0799.HK	Inline	Miss	N/A	N/A	-0.7%	-2.8%	-7.3%	-1.7%
Century Huatong	002602.SZ	Inline	Inline	N/A	N/A	-0.7%	2.3%	-7.5%	-18.8%
Giant Network	002558.SZ	Beat	Inline	N/A	N/A	1.4%	-8.0%	5.2%	-37.7%
37 Interactive	002555.SZ	Miss	Miss	N/A	N/A	2.5%	-6.4%	-4.8%	-21.0%
G-Bits	603444.SS	Beat	Beat	N/A	N/A	0.3%	-0.5%	15.1%	-8.6%
Kingnet	002517.SZ	Beat	Inline	N/A	N/A	3.0%	-1.3%	8.6%	-22.4%
Perfect World	002624.SZ	Miss	Inline	N/A	N/A	0.6%	0.1%	-17.6%	-33.0%
# Beat		24	30	2	1				
# Inline		17	12	2	0				
# Miss		16	15	2	1				

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Source: dataCentral, Citi Research, data as of Sep 1, 2026, close, Note: annual guidance for Grab.

Figure 12. Beat & miss summary – 1Q25 through 2Q26

	1Q25		2Q25		3Q25		4Q25		1Q26		2Q26	
	Revs	Profit	Revs	Profit	Revs	Profit	Revs	Profit	Revs	Profit	Revs	Profit
# of beat	18	26	22	25	18	27	24	26	21	24	24	30
# of inline	14	5	12	11	20	9	13	10	13	14	17	12
# of miss	7	8	15	13	6	8	11	12	11	7	16	15

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Source: Citi Research

Figure 13. Revenue & adjusted OP growth comparison for major internet companies

	2Q25	3Q25	4Q25	1Q26	2Q26
Total revenues yoy growth %					
Alibaba	1.8%	4.8%	1.7%	2.9%	8.6%
Tencent	14.5%	15.4%	12.7%	9.1%	11.0%
Baidu ex-iQiyi	-1.6%	-7.0%	-5.7%	2.1%	-4.1%
Meituan	11.2%	1.6%	4.1%	5.2%	14.4%
NetEase	9.4%	8.2%	3.0%	6.1%	7.9%
.JD.com	22.4%	14.9%	1.5%	4.9%	-2.9%
PDD	7.1%	9.0%	12.0%	11.0%	8.1%
Tencent Music Entertainment	17.9%	20.6%	15.9%	7.3%	5.8%
Kuaishou	13.1%	14.2%	11.8%	3.4%	1.4%
Bilibili	19.8%	5.2%	7.6%	6.7%	8.2%
Kanzhun	9.7%	13.2%	14.0%	7.6%	14.1%
Full Truck Alliance	17.2%	10.8%	0.6%	5.5%	4.4%
Adjusted operating profit yoy growth %					
Alibaba	-13.7%	-77.6%	-57.3%	-84.4%	-29.6%
Tencent	18.5%	18.4%	16.9%	9.1%	9.2%
Baidu ex-iQiyi	-37.4%	-66.6%	-38.9%	-18.9%	-12.9%
Meituan	-86.8%	na	na	na	113.6%
NetEase	24.0%	9.7%	4.7%	16.5%	28.5%
.JD.com	-92.3%	-98.4%	na	-51.7%	511.9%
PDD	-20.7%	1.2%	5.3%	15.5%	4.8%
Tencent Music Entertainment	30.4%	24.7%	15.7%	6.3%	4.8%
Kuaishou	29.7%	55.9%	31.7%	-15.1%	-24.5%
Bilibili	na	152.7%	81.0%	53.0%	21.5%
Kanzhun	33.5%	49.3%	36.6%	17.8%	19.2%
Full Truck Alliance	76.0%	-4.0%	14.4%	-7.5%	28.5%

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Source: Company Reports, Citi Research

Figure 14. Adjusted NP growth comparison for major internet companies

	2Q25	3Q25	4Q25	1Q26	2Q26
Adjusted net profit yoy growth %					
Alibaba	-12.4%	-71.3%	-66.7%	-95.0%	-41.7%
Tencent	10.0%	18.0%	17.0%	10.7%	8.5%
Baidu ex-iQiyi	-24.3%	-19.9%	0.9%	-76.5%	-39.7%
Meituan	-89.0%	na	na	na	69.1%
NetEase	21.9%	26.7%	-26.9%	0.3%	-18.7%
.JD.com	-48.9%	-56.0%	-90.4%	-42.2%	20.8%
PDD	-5.0%	14.3%	-11.9%	-16.8%	-12.9%
Tencent Music Entertainment	33.0%	27.7%	7.6%	4.8%	5.3%
Kuaishou	20.1%	26.3%	16.2%	-26.4%	-30.5%
Bilibili	na	233.3%	93.8%	63.4%	26.0%
Kanzhun	30.8%	37.6%	24.8%	15.2%	9.1%
Full Truck Alliance	39.7%	-20.5%	2.0%	-13.2%	6.5%
Delta: adj. NP - adj. OP (Rmb mn)					
Alibaba	(3,553)	1,377	(6,285)	(3,596)	(6,746)
Tencent	(6,196)	(2,019)	(4,824)	(7,722)	(7,221)
Baidu ex-iQiyi	407	1,611	1,032	483	(1,146)
Meituan	(347)	(661)	(384)	(822)	(1,406)
NetEase	(476)	586	(2,093)	(1,998)	(5,109)
.JD.com	6,498	5,585	4,212	1,751	3,447
PDD	4,961	4,302	(3,179)	(7,019)	(582)
Tencent Music Entertainment	(574)	(541)	(515)	(566)	(587)
Kuaishou	(387)	(965)	(1,001)	(756)	(628)
Bilibili	(11)	99	40	69	12
Kanzhun	65	120	8	72	(18)
Full Truck Alliance	102	125	(46)	(21)	(162)

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Source: Company Reports, Citi Research

Shareholder Returns

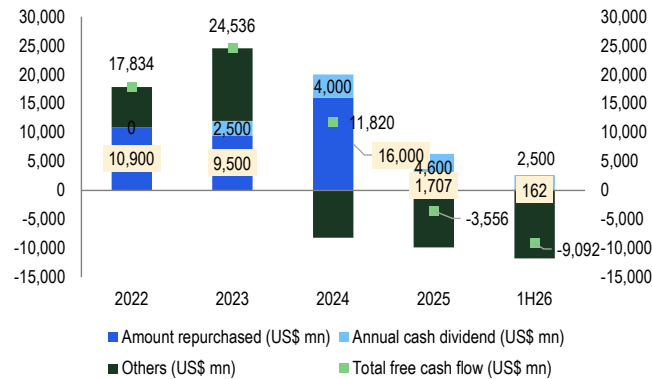
Figure 15. Shareholders return summary

Company	Cash & Cash equivalent, ST investment and deposit (2Q26, US\$)	ST loans and LT Debt (2Q26, US\$)	Net cash as of 2Q26 (US\$)	Current authorized share repurchase program (US\$)	Amount repurchased in 2Q26 (US\$)	Amount repurchased in 2025 (US\$)	Amount outstanding as of 2Q26 (US\$)	Dividend/share announced in 2Q26	Dividend payment in 2Q26	Free cash flow in 2Q26 (US\$)	Total shareholder return as % of FCF in 2Q26
Alibaba	69.6bn	39.3bn	30.3bn	65.0bn	162mn	1.7bn	18.9bn	NA	NA	-6.6bn	NA
Tencent	75.3bn	66.8bn	8.6bn	NA	HK\$16.9bn	HK\$80.0bn	NA	NA	NA	-2.0bn	NA
.JD.com	34.6bn	10.3bn	24.3bn	5.0bn	369mn	3.0bn	1.0bn	NA	NA	4.7bn	NA
Baidu	41.7bn	15.3bn	26.4bn	5.0bn	87mn	687mn	4.7bn	NA	NA	-1.2bn	NA
Meituan	24.8bn	13.1bn	11.7bn	NA	HK\$200mn	HK\$392mn	NA	NA	NA	1.4bn	NA
PDD	67.3bn	NA	67.3bn	0	0	0	0	NA	NA	3.8bn	0.0%
NetEase	26.5bn	1.9bn	24.7bn	5.0bn	0.3bn	~0.1bn	2.7bn	US\$0.480/ADS	US\$307mn	1.5bn	40.5%
VIPShop	4.9bn	1.6bn	3.3bn	1.0bn	99.1mn	696.7mn	216.9mn	NA	NA	-110.3mn	NA
Autohome	2.9bn	NA	2.9bn	400.0mn	43.6mn	NA	NA	NA	NA	38.5mn	113.2%
Tencent Music	6.5bn	2.4bn	4.1bn	1.0bn	400mn	~60mn	0.5bn	NA	NA	422mn	94.8%
Weibo	2.6bn	1.9bn	0.8bn	NA	NA	NA	NA	NA	NA	47.4mn	0.0%
Tongcheng	2.2bn	616.8mn	1.6bn	NA	NA	NA	NA	NA	NA	388.2mn	0.0%
iQiyi	607.8mn	2.0bn	-1.4bn	100.0mn	16.1mn	NA	75.9mn	NA	NA	47.1mn	34.2%
YMM	4.9bn	NA	4.9bn	200.0mn	NA	NA	NA	US\$0.084/ADS	US\$87.5mn	300.7mn	29.1%
Kuaishou	17.9bn	4.0bn	13.9bn	HK\$16bn	HK\$885.2mn	HK\$3.1bn	NA	NA	NA	872.4mn	13.0%
YY	3.1bn	43.9mn	3.1bn	600.0mn	107.9mn	134.6mn	471.6mn	US\$1.55/ADS	US\$79.2mn	64.9mn	288.3%
Kanzhun	2.8bn	NA	2.8bn	400mn	NA	NA	NA	US\$0.51/ADS	US\$230mn	139.2mn	165.2%

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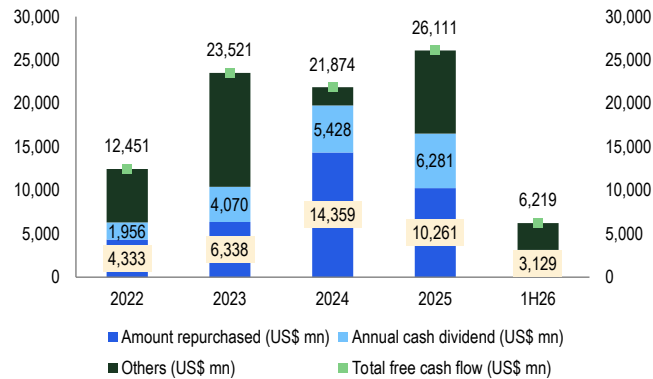
Source: Bloomberg, Company Reports and Citi Research Estimates

Figure 16. REPO & annual dividend vs. FCF for Alibaba



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Source: Company Reports, Citi Research

Figure 17. REPO and annual dividend vs. FCF for Tencent



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Source: Company Reports, Citi Research

Highlights Across Sub-sectors

AI, cloud and token usage

Alibaba: Cloud revenue to further accelerate

[Alibaba](#) noted that external revenue for the AI and Cloud segment has accelerated for nine consecutive quarters, clocking 45% growth in FY1Q27. AI-related products generated Rmb12.4bn in quarterly revenue, implying an annualized run rate of Rmb49.5bn (~US\$ 7.3 billion). Management's internal forecast projects this annualized AI revenue run rate to approach US\$10bn in the next quarter. EBITDA margin is also expected to improve sequentially each quarter. The MaaS business ARR has already surpassed Rmb16bn as of August 2026 and management is confident of it posting Rmb30bn ARR by year-end.

The most important short-term driver is the exponential surge in demand for commercial inference services that began at the end of 2025. This has fundamentally transformed compute from a cost center into a core productive asset whose value generation is positively correlated with revenue. With high-priced computing power in short supply across the industry and GPUs being adopted across diverse use cases, pricing models are converging towards highest-margin monetization approaches. Alibaba's comprehensive multimodal model capabilities provide strong pricing power for compute resources and enable the company to adopt healthier pricing models with both new and renewing customers, per management.

Management expressed high confidence in achieving US\$ 100 billion in external cloud revenue by 2031 and achieve long-term EBITA margin of 20%.

Tencent: Co-design approach for model development

[Tencent](#) adopts a different AI approach vs. peers in terms of compute allocation, co-design philosophy and connectivity empowerment. Hy3 already carried deep production integration with WorkBuddy, Yuanbao, games and Weixin. With launch of [Hy4 Preview](#) on Aug 28, Tencent will continue to train its next large parameter model Hy4 with official version to release later this year and accelerating technical iteration and pushing model intelligence towards SOTA level capabilities with a valuable AI native business consists of applications, own model and compute.

Management believes the investment in WorkBuddy and CodeBuddy may unlock huge opportunities in productivity market including coding and existing office work scenarios. Currently, Tencent will focus on market education and extending leadership position, which would drive economies improvement over time through paying user benefits enhancement and increasing user penetration amid token costs reduction through agent efficiency, inference efficiency and model optimization.

For consumer AI products, Tencent will mainly work to fulfill user needs in Weixin's environment through phased rollout of Xiaowei going forward: 1) enhance core capabilities including conversion, memory and recommendation; 2) integrate more services and content; 3) strengthen AI infrastructure and harness to improve GPU utilization and explore on-device inference in future. Management will target to upgrade Weixin for AI era at controlled cost to support accelerating growth and monetization within Weixin ecosystem.

Regarding margin profile for AI cloud business, management observed an extremely low token manufacturing costs compared to low domestic token prices

in China. This would result in positive gross margin for the token business. Specifically, the gross margin for paying users of WorkBuddy and MaaS are already comparable to the gross margin for Tencent Cloud overall despite a lower gross margin for WorkBuddy overall given a larger portion of free users. In terms of cloud product pricing, Tencent Cloud has been increasing its headline prices due to rising input prices, while substantially reducing discounts under an easing overall pricing environment in China cloud market recently, which also have a positive impact on cloud margin.

Baidu: AI cloud infra drivers and Ernie's future iteration

In 2Q26, [Baidu](#)'s AI cloud infra revenues reached Rmb7.3bn, +50% yoy, yet slightly down from Rmb8.8bn last quarter. Within AI cloud infra, revenues from GPU Cloud increased by +283% yoy in 2Q26, further accelerating from 184% in the previous quarter. Looking ahead, management saw drivers supporting the continued growth with strong demand for AI computing in China. Meanwhile, its customer base is expanding rapidly with new customers of different sizes adopting Baidu's AI cloud infra services while existing customers increase their usage and spending.

Management added that demand has been broadening across industries and use cases, including internet, gaming, autonomous driving, smartphones, financial services and others. Management believes it has built and strengthened a differentiating full stack AI architecture for chips, cloud infra, models and applications with competitive offerings at each layer. At the application layer, management aims to build a portfolio of agents and AI applications with products such as Famou, DuMate, Miaoda and Yijian which have gained traction and strengthen Baidu's ability to capture diverse range of AI opportunities. Management expects these differentiated advantages to drive strong demand in AI cloud infra in 2H with potential acceleration.

On the profitability front, management noted AI cloud infra profit and margins both increased yoy. Going forward, factors driving future margin expansion include faster growth of GPU cloud business than AI cloud infra in general which represents a larger mix and carries a more attractive margin than traditional CPU cloud and further margin expansion supported by continued optimization of product and customer mix, better resource utilization and greater operating efficiency. Moreover, for MaaS, revenue from token generation is still growing fast which still represents a small share of AI cloud infra so far despite encouraging early momentum. As unit scale and inference costs keep going down, management believes MaaS-related business will be able to unlock more profit potential and become an increasingly meaningful contributor to margins. Lastly, its full stack AI capabilities and self-developed chips also provide end-to-end cost advantages supporting margin expansion.

Ernie will represent an important part of its AI strategy and full stack AI capabilities as Baidu is among the first companies in China to invest in foundation models. Its commitment to Ernie remains competitive. Going forward, management will continue to invest resources needed to drive Ernie's ongoing development. Baidu will further optimize its organization and has hired top AI talent recently. Management remains confident of accelerating AI's iteration and bringing Ernie back to the top-tier foundation models.

Kingsoft Cloud: AI revs momentum

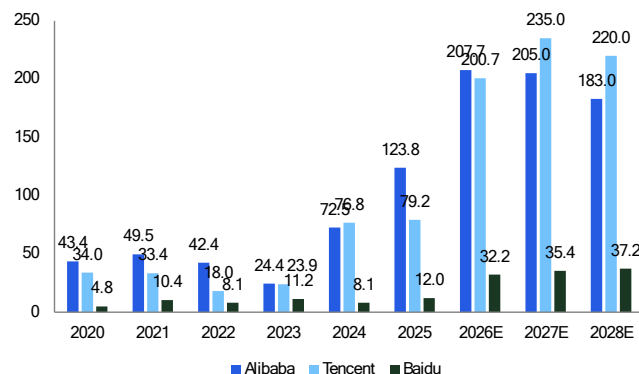
For PCS, [Kingsoft Cloud](#) AI revs contribution rose to 56% from 51% in 1Q26. Despite current small revs scale, MaaS service is ramping up rapidly with decent margin profile, driven by the surge in demand for domestic LLMs. The AI demand from

parentcos has slowed a bit but could gradually pick up ahead, and external customers AI demand momentum is likely to remain robust.

ECS revs declined a bit yoy in 2Q26 amid seasonality but could recover in 2H26E with more projects to be delivered. We now project 48/2% yoy revs growth for PCS/ECS in 2H26E. In terms of margins, we expect GPM to gradually improve ahead with rising revs contribution from higher margin business, and KC has executed decent OPEX control, so its adj. OPM could improve sequentially in 2H.

Mgmt. indicated that short supply of chips has been a new norm for the industry and KC has expanded its chip suppliers with more cooperation with domestic ones. On capex, mgmt. stated it has spent Rmb6.2bn in 1H26E and maintains full-year guidance at Rmb15bn.

Figure 18. Capex of Alibaba, Tencent, Baidu (Rmb bn)

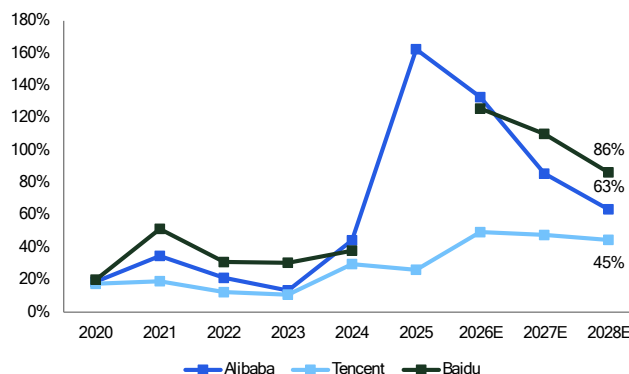


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Source: Company Reports and Citi Research Estimates

Note: capex spend of Alibaba in calendar year

Figure 19. Capex of Alibaba, Tencent, Baidu as % of OCF

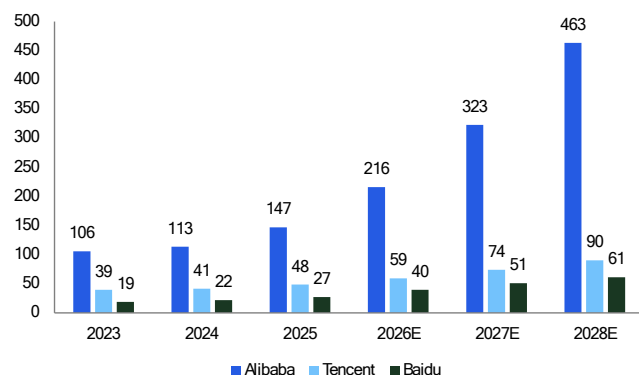


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Source: Company Reports and Citi Research Estimates

Note: Alibaba financials in calendar year

Figure 20. Cloud revs of Alibaba, Tencent, Baidu (Rmb bn)

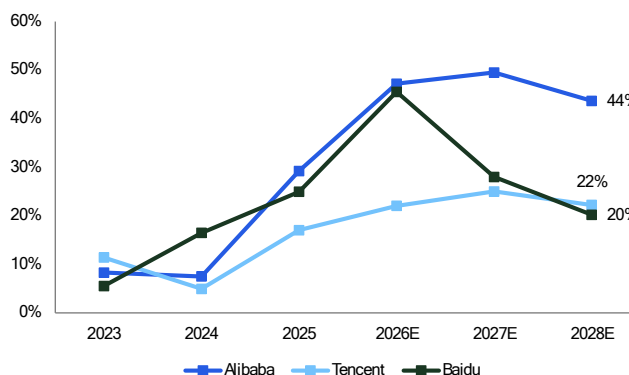


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Source: Company Reports and Citi Research Estimates

Note: Alibaba cloud revenues in calendar year

Figure 21. Cloud revs yoy growth of Alibaba, Tencent, Baidu

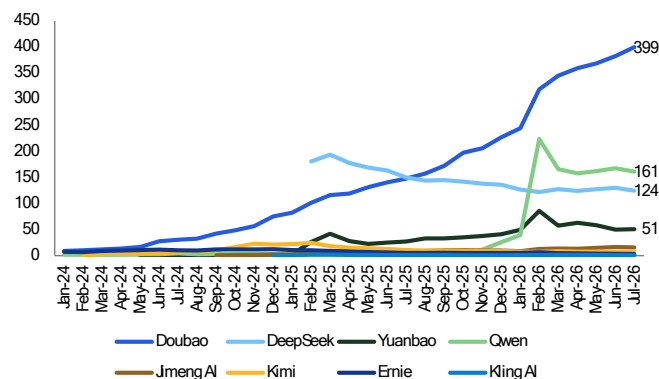


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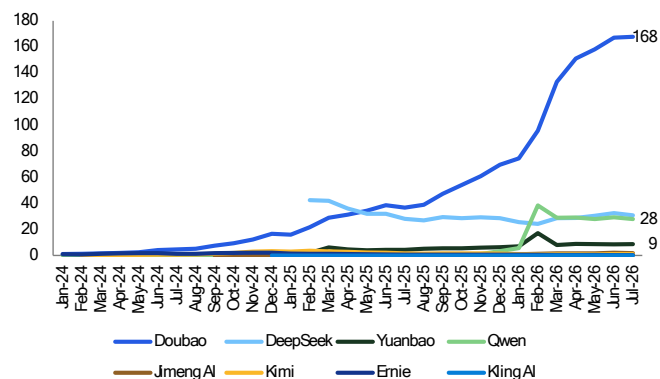
Note: Alibaba cloud revenues in calendar year

Figure 22. China AIGC app MAU (mn)



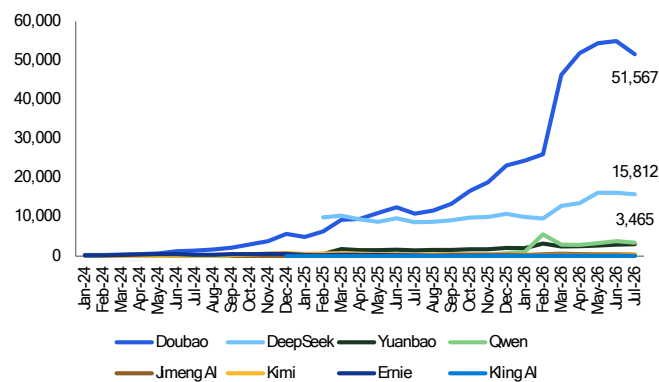
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Source: Questmobile, Citi Research

Figure 23. China AIGC app DAU (mn)



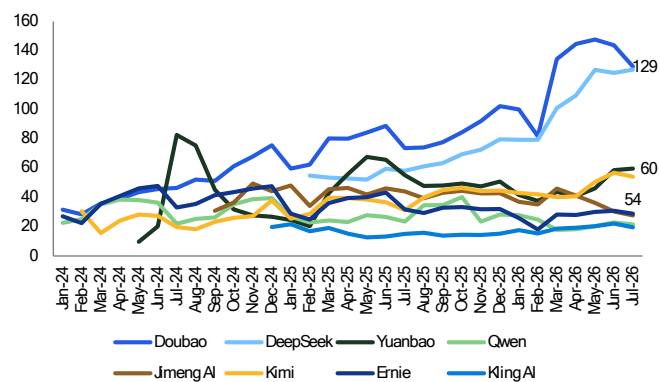
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Source: Questmobile, Citi Research

Figure 24. China AIGC app total time spent (mn min)



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Source: Questmobile, Citi Research

Figure 25. China AIGC app average time spent (min)



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Source: Questmobile, Citi Research

Figure 26. Model iteration timeline by China AI players

Company	AI Models	Release Date
China AI players		
DeepSeek	DeepSeek V4 Preview	24-Apr-26
	DeepSeek V4 Pro-0813	13-Aug-26
Alibaba (Qwen)	Qwen 3 Max Thinking	26-Jan-26
	Qwen 3.5 Plus	16-Feb-26
	Qwen 3.6 Plus	2-Apr-26
	Qwen 3.6 Max Preview	20-Apr-26
	Qwen 3.7 Max	20-May-26
	Qwen 3.7 Plus	1-Jun-26
	Qwen 3.8 Max	3-Aug-26
	Qwen 3.8 Flash	26-Aug-26
Tencent (Hunyuan)	Hy3 Preview	23-Apr-26
	Hy3	6-Jul-26
	Hy4 Preview	28-Aug-26
Baidu (Ernie)	Ernie 5.1	9-May-26
MiniMax	MiniMax M2.5	12-Feb-26
	MiniMax M2.7	18-Mar-26
	MiniMax M3	1-Jun-26
	MiniMax H3	31-Jul-26
Kuaishou (Kling)	Kling 3.0	5-Feb-26

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Source: Company Reports, Citi Research

Figure 27. Qwen3.8-Max benchmark comparison

Benchmark	Context	Qwen3.8-Max	Qwen3.7-Max	Qwen3.7-Plus	Gemini 3.1 Pro
SWE-Pro	Software Engineering	67.7	60.6	-	-
Terminal-Bench 2.1	Terminal Agent	86.6	74.5	-	-
PaperBench	Research Reproduction	93.0	64.8	-	-
FrontierSWE	Software Engineering	73.5	40.7	-	-
QwenReactBench	React Frontend	1724	1538	-	-
CoWorkBench	Professional Cowork Tasks	74.8	64.6	-	-
JobBench	Agents Empower Human Workflows	53.4	31.3	-	-
Agents' Last Exam	Long-Horizon Valuable Tasks	52.4	31.1	-	-
BabyVision (w/o & w/ python)	Visual Reasoning	82.0 / 91.3	64.7 / 70.4	-	55.9 / 68.3
CharXiv (RQ) (w/o & w/ python)	Chart Reasoning	88.4 / 93.5	85.8 / 85.9	-	84.4 / 89.9
ERQA	Embodied Reasoning	77.8	-	69.8	68.0
PerceptionBench	Visual Perception	63.5	-	51.1	56.2
LVBench	Long Video Understanding	81.8	-	76.2	75.1
Vision2Web	Visual Web Development	69.0	-	42.1	-
MobileWorld	Agentic Mobile Use	77.8	-	51.2	58.1
OSWorld-Verified	Agentic Computer Use	86.1	-	73.3	76.2

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Source: Alibaba, Citi Research

Figure 28. Hy4-Preview benchmark comparison

Benchmarks	Hy4 Preview	Hy3	Qwen 3.8 Max	DeepSeek V4 Pro 0813	GLM5.3	Kimi K3	GPT5.6 Sol	Claude Opus 5
Terminal Bench 2.1	85.4	70.8	85.8	80.3	88.3	85.7	88.3	85.4
DeepSWE	64.3	28.0	55.6	58.8	68.1	74.0	68.9	74.7
ProgramBench	17.5	3.0	17.5	15.5	18.0	24.5	25.0	39.5
SWEAtlas Refactoring	53.3	32.9	51.0	48.6	51.9	37.4	52.4	60.0
Agents' Last Exam (ALE-CLJ)	22.8	17.1	25.4	21.9	23.8	23.2	27.6	25.1
Toolathon-Verified	74.1	56.2	69.1	70.1	73.8	74.7	73.2	76.5
APEX-Agents (pass@1)	37.1	24.4	34.0	32.4	38.1	37.2	37.9	41.8
Post TrainBench	35.6	14.5	-	24.5	33.2	32.0	36.2	35.0
OneMillionBench (with tools)	65.4	51.5	63.1	62.0	64.5	63.5	67.1	68.1
BioMysteryBench	71.3	54.9	58.9	61.6	69.0	61.3	73.1	72.1
Humanity's Last Exam (text-only, no tools)	43.4	34.4	41.5	40.5	42.3	46.6	49.6	53.2
HorizonMath (pass@1)	8.8	3.5	5.3	4.4	-	7.1	10.6	5.3

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Source: Tencent, Citi Research

Figure 29. AI strategy/investment of key companies

Companies	Comments
Alibaba	BABA is confident on AI return in investment, with a projected payback period of 3 years or shorter given strong demand vs industry-wide AI compute shortage and improving margins from using its proprietary T-Head chips.
Tencent	Tencent is prioritizing capex for training larger Hunyuan models and supporting WorkBuddy inference, viewing token production as the most enduring economic driver. Mgmt framed the investment as a dynamic, front-loaded cycle, with excess capacity to be monetized via cloud services and a fallback option to pivot to profitable GPU rentals, ensuring confidence in the strategy's returns.
Meituan	Meituan emphasized that LongCat-2.0 represents an important foundation for its AI strategy. By bridging the digital and physical worlds, this may deeply transform the competitive mode in local services over the long term. Management believes it is more important to leverage AI to reshape its organization, product and workflow.
Baidu	Baidu is still in AI investment cycle with strong investment commitment. That said, Baidu will spend wisely and closely focus on ROI driven by clear demand from both customers and internal businesses and as near-catalysts to revenue contribution.
Kuaishou	Regarding AI technology on video, the competitive landscape has become more intensified with recent rollout of H3 by MiniMax, but management is confident it can maintain Kling's position through future updates.
Minimax	M3.1 aims to fully validate the entire infrastructure pipeline and deliver a widely usable model with strong quality and inference efficiency and is expected to be released in 2H26. M3 Pro will be a major leap – nearly 3tn parameters, pushing limits in data volume, training efficiency, and long-task post training. H3.1 will bring another upgrade to the latest H3, which has attracted 24mn download since open-weighting three weeks ago.

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Source: Citi Research, Company Reports

Figure 30. 2Q26 company comments on AI efficiency improvement

Companies	Comments
JD	Internally, JD.com is seamlessly integrating generative AI into automated customer service and cross-departmental workflow, delivering measurable progress in enhancing customer satisfaction, while structurally refining its cost structure and driving long-term operational efficiency.
Weibo	Weibo has also been applying AI to facilitate the R&D of its products, particularly in the area of super topics, where the efficiency of generating super topics has been enhanced by AI, leading to more sub-apps being created by content accounts and driving a historical high in super topic interaction and activity rate.
iQiyi	For content types well-suited to AIGC, iQiyi says AIGC production can reduce production costs and timelines by 70% to 90% compared to traditional methods, while pushing past the physical limits of live action shooting.
Vipshop	Operationally, Vipshop is scaling AI beyond individual tools into a unified, secured intelligence layer across the business, already seeing early wins in supply chain optimizations and daily operational workflows.
Bili	AI is helping create new types of content and boosting creator productivity on Bilibili. The company has seen a surge in content submissions, with AI tools enabling individual creators to produce high-quality animation, film, music, and other content that previously required large teams. This is unleashing the creativity of Bilibili's creators.
Meitu	Meitu has been exploring new AI-powered product opportunities through internal innovations and the Meitu Hatch program to identify high-potential AI imaging products. This allows the company to efficiently identify and validate new growth opportunities, whether through internal development or strategic investment.

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Source: Citi Research, Company Reports

Food delivery: Loss narrowing yoy as subsidies scale back

- **Meituan:** We expect food delivery unit economics (UE) to improve meaningfully yoy, but will face seasonal qoq decline, though remain positive. The qoq dip is driven by increased marketing spend, courier subsidies for the summer peak, and a new national occupational injury insurance program effective July 1.
- **Alibaba:** After more than a year of investment, Taobao Quick Commerce has seen substantial improvement in scale, market share, user mindshare, supply diversity, and logistics. Unit economics improved substantially in the last quarter with losses significantly reduced. Going forward, Alibaba will accelerate integration of Freshippo and Tmall Supermarket into the quick commerce platform, with focus on expanding front warehouses and growing non-food categories. We expect non-food quick commerce transaction volume to surpass food categories within the next fiscal year. The overall quick commerce business is expected to achieve profitability in FY2029, with long-term potential to contribute 30% to total platform GMV, positioning it as the second growth curve for Alibaba's e-commerce business.
- **JD:** JD food delivery has made solid progress with order volume maintaining healthy growth while narrowing total loss by over 50% yoy in 2Q26. Within one year of execution, unit economics improved meaningfully driven by refined operations and higher subsidy efficiency at lower subsidy per order yoy and growing contribution from commissions and ad revenues. Regarding long-term goal, management aims to maintain healthy scale growth in food delivery and continue to boost operating efficiency and unit economics. Management will further deepen the integration between food delivery and core business to further unlock ecosystem synergies to drive sustainable user and revenue growth while lifting overall efficiency and profitability.

Ecommerce: Softer trend in 2Q26 vs. 1Q26; 2H26E muted

- **Electronics: easier comp into 2H26.** The electronics category will have slightly easier comps in 3Q26E after a high comps pressure in 2Q26, though the ongoing

rising component price that led to higher ASP may continue to weigh on consumer demand, as noted by JD.

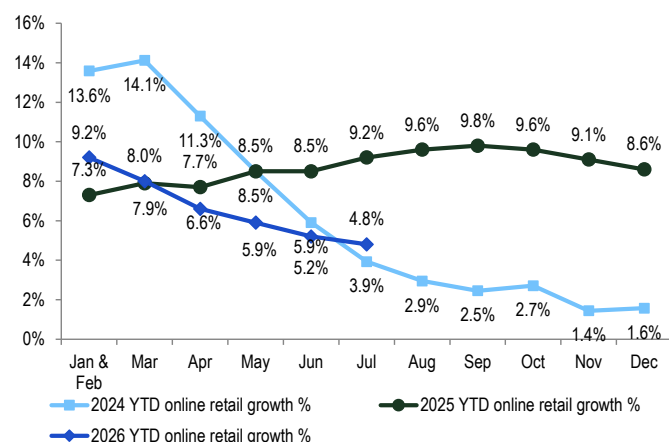
- **Apparel: Challenges from soft consumption.** According to VIPS mgmt., apparel performance in July and Aug showed a modest improvement compared to June though management anticipates overall consumption for 2H26 to largely continue the recent trends and now expect a yoy decline for FY2026 revs. Mgmt. noted consumers have become more cautious in spending as they prioritize value and stick to a spending budget rather than buying things without careful consideration.
- **Supply chain and fulfillment/logistic investment:** PDD reiterated its commitment that it plans to focus on deepening supply chain integration and noted that the first-party brand business (mainly for overseas Temu) represents an important extension of the company's long-term supply chain investment strategy. The company's fulfillment investments are guided by a practical, problem-solving approach. It has been stepping up investment to expand penetration into rural area logistics. Mgmt. noted localization of global merchants and improving its global fulfillment and logistics services will be important as it continues to navigate global regulatory policy changes and constraints.

Jul NBS data updates

For Jul'26, total online retail sales +2.4% YoY and online product sales +3.3% YoY compared with +2%/+3.9% in Jun'26. YTD Jan to Jul'26, online retail sales and online product sales +4.8% yoy/+4.6% YoY to Rmb11.7trn/Rmb7.4trn, with Jul online penetration rate reaching 42%.

YTD Jul'26 online product sales, food, apparel, and general goods categories grew by +16.9%, +5.8% and +1.1% YoY, vs. +16.8%, +6.2% and +1.3% YoY growth for YTD Jun'26.

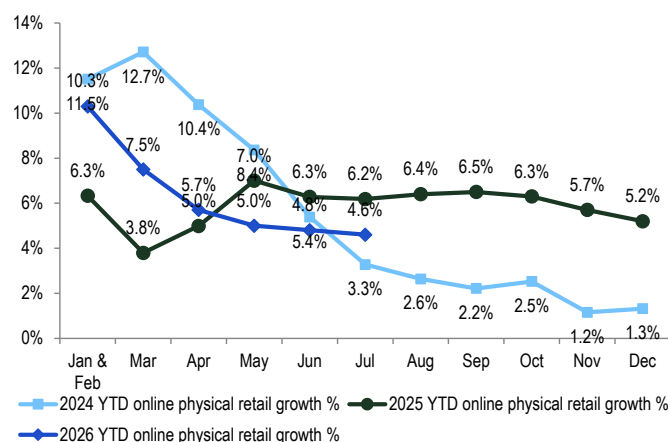
Figure 31. YTD online retail sales growth



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Source: Citi Research, NBS

Figure 32. YTD online physical retail sales growth



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Source: Citi Research, NBS

Ad revs growth faces weak macros & high base

In 2Q26, we noticed that advertising revenue continued to face headwinds due to several factors.

- Soft macros continued to weigh on advertiser budgets, as noted by Sohu, Weibo, and Focus Media, as well as e-commerce platforms.
- The scale-back of food delivery price war also impacted advertising platforms, and the high base impact will sustain in 2H26E, as noted by Weibo, Focus Media, Kuaishou. World Cup contributions are not obvious among advertising companies, based on our observation.
- On the positive side, AI tool advertising spending supports certain advertising revenue in 1H26 and we expect it will continue to contribute to 2H26E.
- By companies, Tencent continued to grow faster than the industry, Bili also grew at over 20% yoy, while several platforms declined, including Baidu, Weibo, and iQiyi, due to competition.

Figure 33. 2Q26 advertising revenue table (RMB mn)

RMB mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Alibaba CMR revs	72,180	89,199	78,927	102,664	73,024	82,547
yoy	14%	10%	10%	1%	1%	-7%
PDD online marketing service revs	48,722	55,703	53,348	60,010	49,936	57,637
yoy	15%	13%	8%	5%	2%	3%
Tencent online ad revs	31,853	35,762	36,242	41,116	38,171	43,565
yoy	20%	20%	21%	17%	20%	22%
Kuaishou	17,977	19,765	20,102	23,618	19,649	20,639
yoy	38%	13%	14%	15%	9%	4%
Weibo online ad revs (US\$mn)	339	383	375	404	370	381
yoy	0%	2%	-6%	5%	9%	-1%
Bilibili online ad revs	1,998	2,449	2,570	3,042	2,589	3,131
yoy	20%	20%	23%	27%	30%	28%
iQiyi online ad revs	1,328	1,272	1,241	1,353	1,241	1,246
yoy	-10%	-13%	-7%	-6%	-7%	-2%
Sohu ad revs (US\$mn)	13.7	15.6	13.6	17.0	12.6	15.2
yoy	-15%	-21%	-27%	-10%	-8%	-3%
Focus Media total revs	2,858	3,255	3,494	3,152	2,915	3,076
yoy	5%	1%	6%	5%	2%	-5%

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Source: Citi Research, Company Reports

Online gaming: More resilient earnings than expected

Tencent: HoK Chess to release on Sep 10

In 2Q26, Tencent's domestic game revenues grew by 17% yoy to Rmb47.3bn, driven by growth from most of its major games and notable contribution from *Delta Force*, *Valorant* PC and Mobile and *Roco Kingdom: World*.

In 2Q26, international game revenues declined by -0.8% yoy to Rmb18.6bn or +4% on constant currency basis, mainly due to higher revenues from *Wuthering Waves* and *Valorant* PC offset by lower revenues from certain Supercell games (*Clash Royale* and *Clash of Clans*, in our view).

For 3Q26, we model domestic games to +7.5% yoy and int'l games to -3% yoy to Rmb46bn/Rmb20.2bn. For 2026E, we model domestic games/int'l games to +9.5%/2.6% yoy to Rmb180bn/Rmb79.3bn. We expect Tencent's online gaming

revenues and profit to remain resilient with upcoming release of *HoK: Chess* on Sep 10 and a licensed title *Control Resonant* on Sep 24.

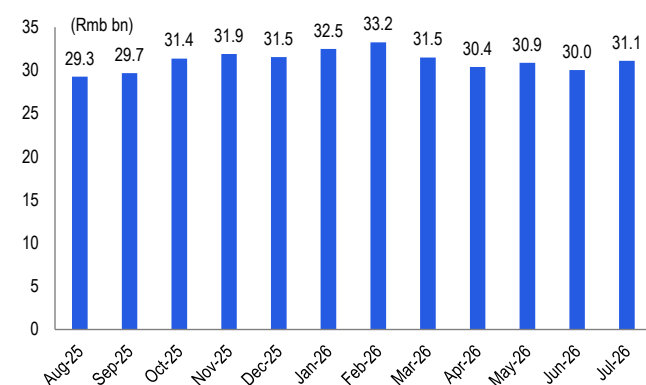
NetEase: Ananta slated to release on Jan 15, 2027

Net revenues for online gaming and VAS grew 9.7% to Rmb25.0bn. Revenues from online games operations accounted for approximately 97.7% of net revenues from games and related value-added services in 2Q26 compared with 97.5% and 97.1% in the preceding quarter and 2Q25, respectively. Deferred revs were +13.7% yoy and -11.5% qoq to RMB19.3bn. Gross margin of online gaming was 76.1% in 2Q26 compared to 74.8% last quarter and 70.2% in 2Q25 ([link](#)).

After launch of *Sea of Remnants*, management shared that they have received a lot of user feedback, a few of which was critical. NTES will listen and take the feedback with a substantial amount of quality content for long-term operations and a sustainable player community. Looking ahead, NTES will serve core players of this title and keep optimizing the content, streamlining early-stage game content and improving innovative gameplay. Management reiterated long-term confidence on this title.

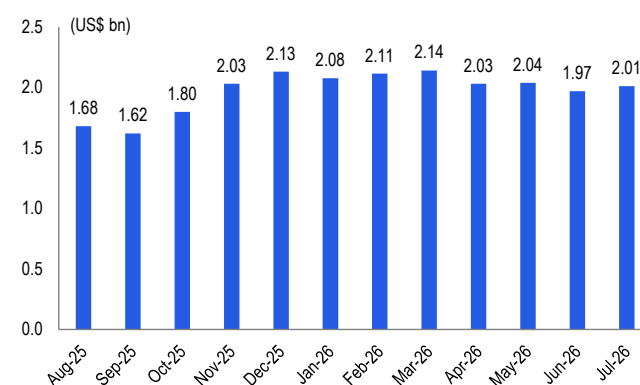
On Aug 25, NetEase also unveiled a new trailer for [Ananta](#) at Gamescom 2026 and announced global release date to be Jan 15, 2027, for PS5, PC, iOS and Android, earlier than we expected and should be viewed positively.

Figure 34. China online gaming market size



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Source: CNG, Citi Research

Figure 35. Overseas grossing of Chinese-developed games



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Source: CNG, Citi Research

Entertainment sector impacted by AI-generated content

During 2Q26, it was obvious that the increasing number of AI-generated content such as AI comic dramas or AI songs negatively impacted certain companies due to losing user time spent, while AI-generated dramas have greatly captured market share with MAU +71% yoy in Jun'26.

Music: Unauthorized AI remixed impacted music platforms like TME

- AI-generated and remixed content, particularly unauthorized AI remixes of copyrighted songs, has become a significant headwind for music platforms' core business, suppressing membership revenue growth and accelerating user churn. These AI remixes, largely distributed freely through user-generated content platforms, undercut TME's value proposition by offering listeners ". While AI-generated music might still capture a small share of total streams, it has

disrupted the freemium model, making it harder for music platforms to attract price-sensitive users and/or push their ad-served freemium service, in our view. Chinese regulators and music labels seem to be moving slowly in responding to unauthorized AI remixes of copyrighted songs, which has hurt the music industry's monetization.

Long video players under pressure

After the competition pressure from short videos and short dramas, long videos also faced pressure from AI-generated comic dramas, leading to continued pressure on user time spent. In 2Q26, iQiyi and Mango reported disappointing results, and even though both companies have AI strategies and short dramas content offerings, they are insufficient to offset the core long video business decline, in our view.

Even though cost of content production for TV dramas and films should decline benefiting from AI technology, we have not yet seen meaningful positive impact on both companies' content cost reduction, as it might take more time. We have low visibility on both iQiyi's and Mango's bottom-line recovery, and while AI lowers content production barriers with prosperity of content supply, it also intensifies content competition.

Yuewen's online reading business impacted by AI dramas

According to China Literature, the 10% sequential decline of FY2H26E online business revenue is driven by intensifying free content competition within the WeChat ecosystem, which has eroded paid content monetization efficiency and internal cannibalization from the company's own AI comic drama distribution. We see potential on-going risks of cannibalization from AI dramas to Yuewen's online reading business.

Short dramas (especially AI dramas) –market share gainer

The short drama video industry's MAU surged from 241mn to 414mn between June 2025 and June 2026, representing a 71.5% YoY growth, compared with China internet MAU at 1.28bn (+1% yoy) in Jun 2026, per Questmobile. Hongguo Free Short Drama leads the short drama video APP industry with 368 million MAU (+73.7% YoY). Meanwhile, AI comic drama apps such as Hongguo Manju are emerging as a notable sub-category.

Travel sees pressure from soft macros and bad weather

Based on results of Tongcheng and Meituan, we noticed soft macros weighed on travel demand, together with high fuel surcharges, heavy rain and typhoons during the summer break. Tongcheng shared that travel demand recovered a bit from late Jul to early Aug, but later plummeted during the latest severe typhoon. With persistent uncertainty from oil price, more-than-usual extreme weather this year as well as soft macro, Tongcheng and Meituan expressed conservative tone on travel demand outlook in 2H26E.

Regarding competition, while anti-trust regulations have supported players like Meituan to get some hotel supply, some business travel user base of Ctrip is not easy to be converted purely through supply additions and subsidies, requiring sustained service quality improvements.

Unexciting logistics demand into 2H26E but pricing steady

With soft macro and unexciting ecommerce data, ecommerce express companies generally believe slower express industry volume growth to be a new norm, with higher requirements on quality. Despite the recent slight policy loosening in certain regions, we expect the overall anti-involution policy to continue in the foreseeable future, with regulators determined to maintain industry stability. As such, STO/YTO/J&T/ZTO are likely to continue to gain market share from Yunda. For premium express players, although the high-end time-definite express demand has remained largely stable, we see currently high level of oil price as key drag to their earnings performance ahead.

For the online transportation industry, the overall transportation demand is being impacted by soft macro and extreme weather, resulting in muted order volume performance for Full Truck Alliance; we expect the weak momentum to continue in 2H26E.

China Internet Comps

Figure 36. China internet valuation comp

Company Name	Reuters Ticker	Analyst	Price Currency	Price	Mkt Cap HKD\$m	USD\$m	Risk Rating	Target Price	ETR %	P/E			P/S			EV/EBITDA		
										2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Category Leader																		
Alibaba	BABA.N	Alicia Yap, CFA	USD	112.85	2,199,421	280,503	1	190.00	70.1%	20.2	13.2	10.8	1.7	1.5	1.3	9.0	7.0	5.9
Alibaba	9888.HK	Alicia Yap, CFA	HKD	110.40	2,195,303	279,977	1	189.00	73.0%	20.0	12.9	10.6	1.6	1.4	1.2	9.0	7.0	5.8
Baidu	BIDU.O	Alicia Yap, CFA	USD	94.86	264,753	33,765	1	166.00	75.0%	17.1	13.4	11.6	1.7	1.7	1.6	2.2	2.9	2.6
JD	JD.O	Alicia Yap, CFA	USD	27.90	273,074	34,826	1	39.00	44.1%	7.8	7.0	6.3	0.2	0.2	0.2	na	na	na
Meltuan	3690.HK	Alicia Yap, CFA	HKD	76.65	467,694	59,647	1H	120.00	56.6%	na	20.3	12.9	1.0	0.9	0.8	22.5	7.6	4.1
NetEase	NTES.O	Alicia Yap, CFA	USD	120.07	602,776	76,875	1	178.00	50.3%	13.2	12.0	11.0	4.3	4.1	3.9	7.9	8.0	7.2
PDD	PDD.O	Alicia Yap, CFA	USD	83.17	928,248	118,384	1H	136.00	63.5%	7.9	6.1	5.2	1.8	1.6	1.5	2.0	0.7	na
Tencent	0700.HK	Alicia Yap, CFA	HKD	441.40	4,018,131	512,451	1	765.00	74.6%	13.0	12.6	11.6	4.2	3.9	3.5	7.1	5.3	4.9
Trip.com	TCOM.O	Brian Gong	USD	43.84	224,676	28,654	1	62.00	42.1%	12.4	10.2	8.9	3.0	2.7	2.5	6.4	2.0	0.7
Average										13.9	12.0	9.9	2.2	2.0	1.8	8.2	5.1	4.5
Ecommerce																		
Alibaba	BABA.N	Alicia Yap, CFA	USD	112.85	2,199,421	280,503	1	190.00	70.1%	20.2	13.2	10.8	1.7	1.5	1.3	9.0	7.0	5.9
Baozun	BZUN.O	Alicia Yap, CFA	USD	2.74	1,249	159	1	5.30	93.4%	4.0	2.6	2.3	0.1	0.1	0.1	3.9	3.0	2.6
JD	JD.O	Alicia Yap, CFA	USD	27.90	273,074	34,826	1	39.00	44.1%	7.8	7.0	6.3	0.2	0.2	0.2	na	na	na
PDD	PDD.O	Alicia Yap, CFA	USD	83.17	928,248	118,384	1H	136.00	63.5%	7.9	6.1	5.2	1.8	1.6	1.5	2.0	0.7	na
Vipshop	VIPS.N	Alicia Yap, CFA	USD	13.10	49,332	6,292	2	15.30	21.5%	6.4	5.1	4.9	0.4	0.4	0.4	1.2	0.5	0.0
Average										9.3	6.8	5.9	0.8	0.7	0.7	4.0	2.8	2.8
Online Travel																		
Tongcheng Travel	0780.HK	Brian Gong	HKD	11.78	27,734	3,537	1	22.00	86.8%	6.6	5.8	5.3	1.2	1.1	1.0	3.0	2.2	1.4
Trip.com	TCOM.O	Brian Gong	USD	43.84	224,676	28,654	1	62.00	42.1%	12.4	10.2	8.9	3.0	2.7	2.5	6.4	2.0	0.7
Average										10.9	8.6	6.9	1.6	1.4	1.3	4.7	2.1	1.1
Verticals																		
Autohome	ATHM.N	Brian Gong	USD	22.10	19,958	2,545	2	22.00	8.1%	18.2	18.3	17.6	3.6	3.7	3.8	na	na	na
Didi Global	DIDIY.PK	Alicia Yap, CFA	USD	3.65	129,004	16,452	1H	6.40	75.3%	na	18.2	9.3	0.5	0.4	0.4	22.2	8.5	3.4
Full Truck Alliance	YMM.N	Brian Gong	USD	8.51	69,232	8,830	1H	14.00	66.5%	11.4	9.5	8.0	4.7	4.6	3.9	5.4	4.0	2.6
Wish	BZ.O	Brian Gong	USD	17.55	65,150	8,309	1	26.00	48.1%	13.8	11.7	10.3	6.0	5.4	4.9	9.2	7.1	5.3
Yixin	2858.HK	Vicky Wei, CFA	HKD	1.19	8,065	1,029	1	2.40	116.9%	4.0	3.9	3.9	0.6	0.5	0.5	na	na	na
Average										11.5	11.6	9.6	2.5	2.4	2.2	11.3	6.6	4.4
Digital content																		
China Literature	0772.HK	Vicky Wei, CFA	HKD	21.56	21,934	2,797	1	25.00	16.0%	24.1	15.5	14.4	2.6	2.5	2.5	26.8	17.2	14.5
IQIYI	IQ.O	Vicky Wei, CFA	USD	0.90	6,840	872	1	1.60	77.0%	na	na	na	0.2	0.2	0.2	2.0	1.6	1.3
Netease Cloud Music	9899.HK	NR	NR	90.65	19,967	2,432	NR	NR	NR	8.9	8.3	7.7	2.0	1.9	1.8	2.9	1.4	0.7
Tencent Music Entertainment	TME.N	Alicia Yap, CFA	USD	8.29	102,307	13,048	1	11.40	40.4%	8.9	8.4	7.2	2.5	2.3	2.1	3.8	3.3	2.4
Average										14.0	10.7	9.7	1.8	1.7	1.7	8.9	5.9	4.7
Advertising/Portal																		
Sohu	SOHU.O	Alicia Yap, CFA	USD	13.88	2,837	362	1	20.00	44.1%	na	na	na	0.6	0.6	0.6	3.3	3.1	3.9
So-Young	SY.O	Nelson Cheung	USD	2.74	2,162	276	1H	4.80	75.2%	na	na	na	0.9	0.8	0.6	na	na	na
Weibo	WB.O	Alicia Yap, CFA	USD	6.80	13,092	1,670	2	7.80	23.7%	5.8	6.1	5.8	1.1	1.1	1.1	na	na	na
Zhihu	ZH.N	Vicky Wei, CFA	USD	2.61	1,775	226	1H	4.00	53.3%	na	na	na	0.5	0.4	0.4	11.1	17.5	22.8
Average										5.8	6.2	5.8	0.9	0.8	0.7	7.2	10.3	9.3
Live streaming																		
Bilibili	BILI.O	Brian Gong	USD	15.79	51,815	6,608	1	27.00	71.0%	15.6	13.3	11.1	1.5	1.4	1.3	6.5	4.8	3.3
Douyu	DOYU.O	Nelson Cheung	USD	4.36	1,032	132	2	5.00	14.7%	23.6	13.6	12.4	0.2	0.3	0.3	na	na	na
Hello Group	MOMO.O	Brian Gong	USD	5.44	6,302	804	2H	6.80	30.5%	5.8	5.5	5.3	0.6	0.6	0.6	na	na	na
Huya	HUYA.N	Nelson Cheung	USD	2.10	3,908	498	1	4.60	125.2%	21.6	12.9	9.5	0.5	0.4	0.4	na	na	na
JOYY	JOYY.O	Brian Gong	USD	74.04	28,431	3,626	1	83.00	20.2%	14.6	11.6	10.0	1.5	1.4	1.2	4.2	1.9	0.9
Kuaishou	1024.HK	Brian Gong	HKD	34.64	149,886	19,116	2	41.00	19.7%	14.6	13.0	11.5	0.9	0.9	0.9	5.1	5.1	4.5
Newborn Town	9911.HK	Nelson Cheung	HKD	8.62	12,064	1,539	1H	13.00	50.9%	7.7	6.7	5.6	1.2	1.1	1.0	4.0	2.6	1.6
Average										14.8	10.9	9.3	0.9	0.9	0.8	4.9	3.6	2.6
Gaming/software services																		
37 Interactive	002555.SZ	Nelson Cheung	CNY	18.64	48,109	6,136	1	25.00	37.9%	12.3	11.9	11.2	2.6	2.4	2.3	9.7	10.1	9.3
Century Huatong	002602.SZ	Nelson Cheung	CNY	13.85	119,099	15,189	1	23.00	67.5%	11.2	9.5	9.1	2.3	2.0	2.0	7.7	5.7	4.6
Chinese Media	600373.SS	Nelson Cheung	CNY	7.45	11,711	1,494	3	5.60	-20.8%	16.5	13.9	13.0	1.4	1.3	1.3	2.3	2.0	1.8
C-Bits	603444.SS	Nelson Cheung	CNY	387.48	32,567	4,153	1	500.00	34.4%	14.0	13.2	12.4	4.1	3.9	3.8	7.6	6.8	5.9
Giant Network	002558.SZ	Nelson Cheung	CNY	26.95	59,757	7,621	1	40.00	54.0%	12.5	10.9	10.5	5.7	5.6	5.5	7.4	5.9	4.9
IGG	0799.HK	Nelson Cheung	HKD	3.17	3,624	462	1	4.58	54.3%	6.6	4.7	4.3	0.6	0.6	0.6	1.5	0.8	0.3
Kingnet	002517.SZ	Nelson Cheung	CNY	16.97	42,298	5,395	1	23.00	37.9%	13.5	11.8	10.5	4.2	4.6	4.5	8.6	7.1	5.8
NetEase	NTES.O	Alicia Yap, CFA	USD	120.07	602,776	76,875	1	178.00	50.3%	13.2	12.0	11.0	4.3	4.1	3.9	7.9	8.0	7.2
Outupai	300315.SZ	Nelson Cheung	CNY	4.16	13,141	1,676	3H	1.50	-83.9%	na	81.7	73.9	16.6	16.5	16.7	164.3	108.7	90.1
Perfect World	002624.SZ	Nelson Cheung	CNY	10.98	24,851	3,169	1	17.00	58.5%	22.7	10.6	9.0	2.7	2.4	2.3	12.2	5.5	4.1
XD	2400.HK	Nelson Cheung	HKD	41.36	20,013	2,552	1H	70.00	69.2%	11.4	10.0	9.0	2.9	2.6	2.4	6.9	5.2	3.8
YOOZOO Interactive	002174.SZ	Nelson Cheung	CNY	11.67	13,340	1,701	3H	7.00	-40.0%	25.8	24.1	23.6	7.9	7.7	7.6	14.2	13.4	12.4
Average										15.1	17.1	18.1	4.2	4.0	4.1	9.6	23.9	15.9
Media and Entertainment																		
Enlight Media	300251.SZ	Vicky Wei, CFA	CNY	11.65	39,873	5,085	3H	13.00	12.9%	58.9	39.2	38.0	18.1	14.4	13.3	36.3	24.6	23.5
Damai Entertainment	1060.HK	Vicky Wei, CFA	HKD	0.49	14,689	1,873	1	0.80	63.3%	14.9	13.1	11.3	1.5	1.4	1.3	0.4	na	na
Focus Media	002027.SZ	Vicky Wei, CFA	CNY	4.96	83,573	10,658	1	7.40	56.0%	14.9	14.6	14.1	5.9	5.8	5.7	10.3	9.6	9.3
Mango Excellent Media	300413.SZ	Vicky Wei, CFA	CNY	20.38	44,480	5,673	2	15.80	22.2%	na	69.6	48.9	2.8	2.6	2.5	4.2	4.6	4.1
Mayan Entertainment	1806.HK	Vicky Wei, CFA	HKD	4.33	5,084	648	1	6.00	40.6%	12.3	10.2	9.2	1.0	1.0	0.9	6.3	4.4	3.7
Zhejiang Huace Film & TV	300133.SZ	Vicky Wei, CFA	CNY	7.75	16,951	2,162	1	8.70	12.4%	29.5	22.3	18.1	4.5	4.0	3.6	13.5	10.0	7.7
Average										31.2	20.0	24.1	4.4	3.9	4.0	20.3	18.0	9.7
Software services/ Internet Infrastructure																		
360 Security	601360.SS	Nelson Cheung	CNY	9.27	75,701	9,654	2	9.50	3.6%	na	na	na	7.3	7.1	6.9	na	204.8	90.0
Kingsoft Office	688111.SS	Brian Gong	CNY	247.36	133,909	17,078	1	376.00	52.0%	52.6	43.9	39.4	17.3	15.5	14.2	54.6	42.5	35.7
Kingsoft Cloud	601024.SS	Brian Gong	USD	10.24	24,255	3,094	1	18.00	75.8%	na	86.7	35.0	1.6	1.4	1.2	5.9	4.0	2.9
Kingsoft	3888.HK	Nelson Cheung	HKD	25.08	34,471	4,396	1	33.00	32.2%	25.3	19.3	15.4	3.0	2.7	2.6	3.4	2.0	1.2
Lakala Payment	300773.SZ	Vicky Wei, CFA	CNY	16.66	21,134	2,695	3	18.86	2.9%	24.5	21.7	21.5	2.9	2.8	2.8	15.5	12.3	11.3
Meitu	1357.HK	Vicky Wei, CFA	HKD	4.86	21,983	2,804	1H	7.00	46.9%	14.1	11.0	9.1	4.0	3.3	2.7	9.0	6.1	4.1
MiniMax	10100.HK	Alicia Yap, CFA	HKD	336.80	117,622	15,001	1H	576.00	71.0%	na	na	na	23.8	7.8	4.1	na	na	na
NetEase	2013.HK	Vicky Wei, CFA	HKD	1.93	4,215	538	2	23.00	39.9%	43.0	29.9	29.3	1.6	1.5	1.6	8.3	18.5	15.8
Youshan	9923.HK	Vicky Wei, CFA	HKD	4.51	2,075													

Share Price Performance

Figure 37. China internet share price performance

Company Name	Reuters Ticker	Analyst	Price Currency	Price	Mkt Cap		52 Week		Price Performance			
					HKD\$'m	USD\$'m	High	Low	1 week	1 mth	3 mth	YTD
Category Leader												
Alibaba Group Holding	BABA.N	Alicia Yap, CFA	USD	112.85	2,199,421	280,503	192.67	92.87	-5.8%	-7.7%	-13.7%	-23.0%
Alibaba	9988.HK	Alicia Yap, CFA	HKD	110.40	2,195,303	279,977	186.20	88.65	-5.3%	-5.6%	-15.7%	-22.7%
Baidu.com	BIDU.O	Alicia Yap, CFA	USD	94.86	264,753	33,765	165.30	89.60	1.7%	-14.6%	-30.6%	-27.4%
JD.com	JD.O	Alicia Yap, CFA	USD	27.90	273,074	34,826	36.86	24.51	-3.0%	-15.5%	-7.5%	-2.8%
Meltan	3690.HK	Alicia Yap, CFA	HKD	76.65	467,694	59,647	109.70	63.65	-1.8%	-17.1%	-10.4%	-25.8%
NetEase	NTES.O	Alicia Yap, CFA	USD	120.07	602,776	76,875	159.55	106.06	-2.7%	-9.9%	-3.8%	-12.8%
PDD Holdings Inc	PDD.O	Alicia Yap, CFA	USD	83.17	928,248	118,384	139.41	71.94	-4.1%	-6.1%	-5.7%	-26.7%
Tencent Holdings	0700.HK	Alicia Yap, CFA	HKD	441.40	4,018,131	512,451	683.00	411.00	-0.9%	-7.1%	-8.3%	-26.3%
Trip.com Group Ltd	TCOM.O	Brian Gong	USD	43.84	224,676	28,654	78.99	38.04	-2.9%	-6.7%	-9.6%	-39.0%
Ecommerce												
Alibaba Group Holding	BABA.N	Alicia Yap, CFA	USD	112.85	2,199,421	280,503	192.67	92.87	-5.8%	-7.7%	-13.7%	-23.0%
Baozun	BZUN.O	Alicia Yap, CFA	USD	2.74	1,249	159	4.88	2.07	-2.8%	-4.5%	2.2%	3.0%
JD.com	JD.O	Alicia Yap, CFA	USD	27.90	273,074	34,826	36.86	24.51	-3.0%	-15.5%	-7.5%	-2.8%
PDD Holdings Inc	PDD.O	Alicia Yap, CFA	USD	83.17	928,248	118,384	139.41	71.94	-4.1%	-6.1%	-5.7%	-26.7%
Vipshop Holdings	VIPS.N	Alicia Yap, CFA	USD	13.10	49,332	6,292	21.06	12.65	-7.0%	-14.6%	-9.7%	-25.9%
Online Travel												
Tongcheng Travel Holdings	0780.HK	Brian Gong	HKD	11.78	27,734	3,537	25.42	11.67	-2.8%	-17.5%	-21.0%	-47.5%
Trip.com Group Ltd	TCOM.O	Brian Gong	USD	43.84	224,676	28,654	78.99	38.04	-2.9%	-6.7%	-9.6%	-39.0%
Verticals												
Autohome	ATHM.N	Brian Gong	USD	22.10	19,958	2,545	29.92	15.66	-0.3%	-4.8%	20.4%	-0.7%
DIDI Global	DIDIY.PK	Alicia Yap, CFA	USD	3.65	129,004	16,452	6.99	3.30	-4.9%	3.1%	-4.7%	-30.9%
Full Truck Alliance	YMM.N	Brian Gong	USD	8.51	69,232	8,830	14.07	7.46	-3.5%	-10.3%	-10.5%	-20.7%
Kanzhun	BZ.O	Brian Gong	USD	17.55	65,150	8,309	25.26	12.57	-6.8%	7.8%	19.7%	-13.9%
Yixin	2858.HK	Vicky Wei, CFA	HKD	1.19	8,065	1,029	3.13	1.14	-8.1%	-11.6%	-24.5%	-52.7%
Digital content												
China Literature	0772.HK	Vicky Wei, CFA	HKD	21.56	21,934	2,797	45.50	18.00	5.6%	6.6%	-15.9%	-34.6%
iQIYI	IQ.O	Vicky Wei, CFA	USD	0.90	6,840	872	2.84	0.90	-8.0%	-28.8%	-20.0%	-52.9%
Netease Cloud Music Inc	9899.HK	NR	HKD	90.65	19,067	2,432	296.80	89.10	-2.4%	-28.8%	-28.2%	-51.3%
Tencent Music Entertainment	TME.N	Alicia Yap, CFA	USD	8.29	102,307	13,048	26.70	7.94	-5.8%	-12.3%	-12.8%	-52.7%
Advertising/Portal												
Sohu	SOHU.O	Alicia Yap, CFA	USD	13.88	2,837	362	17.30	11.61	-2.0%	0.1%	0.0%	-11.3%
So-Young International	SY.O	Nelson Cheung	USD	2.74	2,162	276	4.75	1.28	14.2%	48.9%	30.5%	7.0%
Weibo	WB.O	Alicia Yap, CFA	USD	6.80	13,092	1,670	12.96	6.79	-3.4%	-16.6%	-15.3%	-33.5%
Zhihu	ZH.N	Vicky Wei, CFA	USD	2.61	1,775	226	5.53	2.59	-15.3%	-20.2%	-14.1%	-20.4%
Live streaming												
Bilibili	BILI.O	Brian Gong	USD	15.79	51,815	6,608	36.40	15.78	-2.2%	-17.3%	-15.3%	-35.8%
Douyu	DOYU.O	Nelson Cheung	USD	4.36	1,032	132	8.27	4.18	0.0%	-5.6%	-17.7%	-35.9%
Hello Group Inc	MOMO.O	Brian Gong	USD	5.44	6,302	804	8.20	5.32	-5.6%	-9.2%	-5.6%	-13.0%
Huya	HUYA.N	Nelson Cheung	USD	2.10	3,908	498	4.65	2.08	-3.7%	-14.3%	-18.1%	-22.6%
JOYY	JOYY.O	Brian Gong	USD	74.04	28,431	3,626	80.90	54.24	-1.0%	0.6%	7.8%	14.3%
Kuaishou	1024.HK	Brian Gong	HKD	34.64	149,886	19,116	92.60	32.52	3.0%	-20.7%	-29.3%	-45.8%
Newborn Town	9911.HK	Nelson Cheung	HKD	8.62	12,064	1,539	14.09	6.94	-3.0%	5.7%	-1.1%	-23.0%
Gaming/software services												
37 Interactive Entertainment	002555.SZ	Nelson Cheung	CNY	18.64	48,109	6,136	31.01	17.10	2.5%	-6.4%	-4.8%	-21.0%
Century Huatong	002602.SZ	Nelson Cheung	CNY	13.85	119,099	15,189	22.49	12.00	-0.7%	2.3%	-7.5%	-18.8%
Chinese Media	600373.SS	Nelson Cheung	CNY	7.45	11,711	1,494	12.09	6.54	3.5%	-3.4%	-2.5%	-20.2%
G-Bits	603444.SS	Nelson Cheung	CNY	387.48	32,567	4,153	668.00	318.00	0.3%	-0.5%	15.1%	-8.6%
Giant Network	002558.SZ	Nelson Cheung	CNY	26.95	59,757	7,621	53.35	23.44	1.4%	-8.0%	5.2%	-37.7%
IGG	0759.HK	Nelson Cheung	HKD	3.17	3,624	462	4.00	2.43	-0.7%	-2.8%	-7.7%	-1.7%
Kingnet	002517.SZ	Nelson Cheung	CNY	16.97	42,298	5,395	30.50	13.95	3.0%	-1.3%	8.6%	-22.4%
NetEase	NTES.O	Alicia Yap, CFA	USD	120.07	602,776	76,875	159.55	106.06	-2.7%	-9.9%	-3.8%	-12.8%
Ourpalm	300315.SZ	Nelson Cheung	CNY	4.16	13,141	1,676	7.80	3.70	5.6%	-5.0%	-7.1%	-15.8%
Perfect World	002624.SZ	Nelson Cheung	CNY	10.98	24,851	3,169	23.68	9.54	0.6%	0.1%	-17.6%	-33.0%
XD	2400.HK	Nelson Cheung	HKD	41.36	20,013	2,552	92.45	40.10	-2.5%	-13.0%	-27.3%	-36.2%
YOOZOO Interactive	002174.SZ	Nelson Cheung	CNY	11.67	13,340	1,701	15.25	8.89	-2.4%	3.1%	7.7%	-4.7%
Media and Entertainment												
Beijing Enlight Media	300251.SZ	Vicky Wei, CFA	CNY	11.65	39,873	5,085	29.88	10.60	6.8%	-2.3%	-6.1%	-28.9%
Damai Entertainment Holdings	1060.HK	Vicky Wei, CFA	HKD	0.49	14,689	1,873	1.18	0.44	-3.9%	-5.8%	-23.4%	-48.4%
Focus Media	002027.SZ	Vicky Wei, CFA	CNY	4.96	83,573	10,658	8.53	4.63	-0.4%	-11.7%	-10.6%	-32.7%
Mango Excellent Media	300413.SZ	Vicky Wei, CFA	CNY	20.38	44,480	5,673	36.42	13.81	44.4%	24.5%	17.0%	-16.5%
Maoyan Entertainment	1896.HK	Vicky Wei, CFA	HKD	4.33	5,084	648	8.65	4.16	1.9%	-4.2%	-23.6%	-37.6%
Zhejiang Huace Film & TV	300133.SZ	Vicky Wei, CFA	CNY	7.75	16,951	2,162	11.45	6.23	12.0%	11.0%	-3.4%	-6.9%
Software services/ Internet Infrastructure												
360 Security Technology	601360.SS	Nelson Cheung	CNY	9.27	75,701	9,654	14.68	8.26	6.9%	-0.6%	-10.4%	-17.0%
Beijing Kingsoft Office Software	688111.SS	Brian Gong	CNY	247.36	133,909	17,078	415.00	200.00	6.1%	-8.2%	-5.7%	-19.4%
Kingsoft Cloud	KC.O	Brian Gong	USD	10.24	24,258	3,094	18.52	8.35	0.1%	-8.2%	-25.3%	-1.0%
Kingsoft	3888.HK	Nelson Cheung	HKD	25.08	34,471	4,396	38.20	20.50	2.5%	-6.3%	6.5%	-11.8%
Lakala Payment	300773.SZ	Vicky Wei, CFA	CNY	16.66	21,134	2,695	22.91	13.92	3.3%	4.1%	-2.7%	-18.1%
Meitu	1357.HK	Vicky Wei, CFA	HKD	4.86	21,983	2,804	10.20	3.56	11.9%	3.0%	-13.1%	-30.6%
MiniMax	0100.HK	Alicia Yap, CFA	HKD	336.80	117,622	15,001	1,330.00	186.20	11.2%	46.1%	-49.5%	na
Weimob	2013.HK	Vicky Wei, CFA	HKD	1.02	4,215	538	3.00	0.96	2.0%	-15.0%	-33.3%	-44.6%
Yeahka Limited	9923.HK	Vicky Wei, CFA	HKD	4.51	2,075	265	11.73	4.49	-7.1%	-8.6%	-27.6%	-43.6%
Youzan Technology	6051.HK	Vicky Wei, CFA	HKD	1.25	2,001	255	4.88	1.19	1.6%	-8.5%	-33.8%	-55.2%
Southeast Asia Internet												
Bukalapak	BUKA.JK	NR	IDR	113.00	5,160	658	198.00	93.00	5.6%	-4.2%	-9.6%	-28.5%
GoTo Gojek Tokopedia	GOTO.JK	Ferry Wong, CFA	IDR	50.00	25,242	3,219	73.00	50.00	0.0%	0.0%	0.0%	-21.9%
Grab Holdings Ltd	GRAB.O	Alicia Yap, CFA	USD	3.46	110,996	14,156	6.62	3.18	-4.9%	-1.1%	-3.9%	-30.7%
Sea	SE.N	Alicia Yap, CFA	USD	112.65	500,786	63,868	199.24	77.05	-5.4%	5.5%	20.9%	-11.7%
Logistics												
J&T Express	1519.HK	Brian Gong	HKD	9.69	93,359	11,907	12.20	7.54	-3.3%	-4.0%	6.2%	-7.3%
JD Logistics	2618.HK	Brian Gong	HKD	10.97	72,662	9,267	16.76	10.20	-2.3%	-27.0%	-19.2%	-3.9%
KLN Logistics	0636.HK	Brian Gong	HKD	5.95	10,745	1,370	7.90	5.45	2.5%	-0.8%	-5.2%	-16.1%
S.F. Holding	002352.SZ	Brian Gong	CNY	32.13	179,908	22,945	42.73	30.13	-4.3%	-8.2%	-7.9%	-16.2%
SF Intra-City	9699.HK	Nelson Cheung	HKD	8.58	7,840	1,000	16.27	6.92	4.1%	0.2%	-2.6%	-22.0%
STO Express	002468.SZ	Brian Gong	CNY	14.08	25,146	3,207	20.07	12.50	0.4%	-0.1%	-4.6%	4.9%
YTO Express	600233.SS	Brian Gong	CNY	16.86	67,330	8,587	22.86	14.90	-0.5%	-10.6%	-5.5%	2.7%
YUNDA Holding	002120.SZ	Brian Gong	CNY	6.91	23,373	2,981	8.34	6.05	3.4%	-0.1%	0.6%	2.5%
ZTO Express (Cayman)	ZTO.N	Brian Gong	USD	21.06	126,066	16,078	26.15	17.86	-1.2%	-12.3%	-6.8%	0.8%
China Ride-Hailing												
CaoCao	2643.HK	Alicia Yap, CFA	HKD	14.07	8,175	1,043	88.70	13.43	1.1%	-5.1%	-58.5%	-53.1%
DIDI Global	DIDIY.PK	Alicia Yap, CFA	USD	3.65	129,004	16,452	6.99	3.30	-4.9%	3.1%	-4.7%	-30.9%

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Source: dataCentral, Citi Research, Bloomberg. Note: Data as of Sep 1, 2026, close; Bloomberg consensus figs for NR stocks.

Companies Mentioned:

360 Security Technology (601360.SS; Rmb8.99; 2; 02 Sep 26; 15:00) | 37 Interactive Entertainment (002555.SZ; Rmb18.23; 1; 02 Sep 26; 15:00) | Alibaba (9988.HK; HK\$109.9; 1; 02 Sep 26; 16:10) | Alibaba Group Holding (BABA.N; US\$111.81; 1; 02 Sep 26; 16:00) | Autohome (ATHM.N; US\$21.93; 2; 02 Sep 26; 16:00) | Baidu.com (BIDU.O; US\$94.34; 1; 02 Sep 26; 16:00) | Baozun (BZUN.O; US\$2.82; 1; 02 Sep 26; 16:00) | Beijing Enlight Media (300251.SZ; Rmb11.23; 3H; 02 Sep 26; 15:00) | Beijing Kingsoft Office Software (688111.SS; Rmb238.4; 1; 02 Sep 26; 15:00) | Bilibili (BILI.O; US\$15.45; 1; 02 Sep 26; 16:00) | CaoCao (2643.HK; HK\$13.62; 1H; 02 Sep 26; 16:10) | Century Huatong (002602.SZ; Rmb14.03; 1; 02 Sep 26; 15:00) | China Literature (0772.HK; HK\$20.32; 1; 02 Sep 26; 16:10) | Chinese Media (600373.SS; Rmb7.28; 3; 02 Sep 26; 15:00) | Damai Entertainment Holdings (1060.HK; HK\$0.49; 1; 02 Sep 26; 16:10) | DiDi Global (DIDIY.PK; US\$3.72; 1H; 02 Sep 26; 17:00) | Douyu (DOYU.O; US\$4.3; 2; 02 Sep 26; 16:00) | Focus Media (002027.SZ; Rmb4.85; 1; 02 Sep 26; 15:00) | Full Truck Alliance (YMM.N; US\$8.63; 1H; 02 Sep 26; 16:00) | G-Bits (603444.SS; Rmb378.57; 1; 02 Sep 26; 15:00) | Giant Network (002558.SZ; Rmb26.1; 1; 02 Sep 26; 15:00) | GoTo Gojek Tokopedia (GOTO.JK; Rp50.0; 1H; 02 Sep 26; 16:00) | Grab Holdings Ltd (GRAB.O; US\$3.53; 1; 02 Sep 26; 16:00) | Hello Group Inc (MOMO.O; US\$5.49; 2H; 02 Sep 26; 16:00) | Huya (HUYA.N; US\$2.08; 1; 02 Sep 26; 16:00) | IGG (0799.HK; HK\$3.09; 1; 02 Sep 26; 16:10) | iQIYI (IQ.O; US\$0.86; 1; 02 Sep 26; 16:00) | J&T Express (1519.HK; HK\$9.73; 1; 02 Sep 26; 16:10) | JD Logistics (2618.HK; HK\$10.91; 1; 02 Sep 26; 16:10) | JD.com (JD.O; US\$27.83; 1; 02 Sep 26; 16:00) | JOYY (JOYY.O; US\$74.56; 1; 02 Sep 26; 16:00) | Kanzhun (BZ.O; US\$17.3; 1; 02 Sep 26; 16:00) | Kingnet (002517.SZ; Rmb16.75; 1; 02 Sep 26; 15:00) | Kingsoft (3888.HK; HK\$24.44; 1; 02 Sep 26; 16:10) | Kingsoft Cloud (KC.O; US\$10.25; 1; 02 Sep 26; 16:00) | KLN Logistics (0636.HK; HK\$5.83; 1H; 02 Sep 26; 16:10) | Kuaishou (1024.HK; HK\$33.64; 2; 02 Sep 26; 16:10) | Lakala Payment (300773.SZ; Rmb16.11; 3; 02 Sep 26; 15:00) | Mango Excellent Media (300413.SZ; Rmb20.52; 2; 02 Sep 26; 15:00) | Maoyan Entertainment (1896.HK; HK\$4.23; 1; 02 Sep 26; 16:10) | Meitu (1357.HK; HK\$4.69; 1H; 02 Sep 26; 16:10) | Meituan (3690.HK; HK\$78.75; 1H; 02 Sep 26; 16:10) | MiniMax (0100.HK; HK\$342.6; 1H; 02 Sep 26; 16:10) | NetEase (NTES.O; US\$119.47; 1; 02 Sep 26; 16:00) | Newborn Town (9911.HK; HK\$8.89; 1H; 02 Sep 26; 16:10) | Ourpalm (300315.SZ; Rmb4.1; 3H; 02 Sep 26; 15:00) | PDD Holdings Inc (PDD.O; US\$82.25; 1H; 02 Sep 26; 16:00) | Perfect World (002624.SZ; Rmb10.81; 1; 02 Sep 26; 15:00) | S.F. Holding (002352.SZ; Rmb31.96; 1; 02 Sep 26; 15:00) | S.F. Holding Co Ltd (002352.SZ; Rmb31.96; Not Rated; 02 Sep 26; 15:00) | Sea (SE.N; US\$112.81; 1; 02 Sep 26; 16:00) | SF Intra-City (9699.HK; HK\$8.37; 1; 02 Sep 26; 16:10) | So-Young International (SY.O; US\$2.82; 1H; 02 Sep 26; 16:00) | Sohu (SOHU.O; US\$13.63; 1; 02 Sep 26; 16:00) | STO Express (002468.SZ; Rmb14.0; 1; 02 Sep 26; 15:00) | Tencent Holdings (0700.HK; HK\$438.2; 1; 02 Sep 26; 16:10) | Tencent Music Entertainment (TME.N; US\$8.39; 1; 02 Sep 26; 16:00) | Tongcheng Travel Holdings (0780.HK; HK\$11.78; 1; 02 Sep 26; 16:10) | Trip.com Group Ltd (TCOM.O; US\$43.63; 1; 02 Sep 26; 16:00) | Vipshop Holdings (VIPS.N; US\$13.02; 2; 02 Sep 26; 16:00) | Weibo (WB.O; US\$6.77; 2; 02 Sep 26; 16:00) | Weimob (2013.HK; HK\$0.99; 2; 02 Sep 26; 16:10) | XD (2400.HK; HK\$39.62; 1H; 02 Sep 26; 16:10) | Yeahka Limited (9923.HK; HK\$4.49; 1H; 02 Sep 26; 16:10) | Yixin (2858.HK; HK\$1.14; 1; 02 Sep 26; 16:10) | YOOZOO Interactive (002174.SZ; Rmb11.62; 3H; 02 Sep 26; 15:00) | Youdao (DAO.N; US\$14.89; 1; 02 Sep 26; 16:00) | Youzan Technology (6051.HK; HK\$1.21; 2H; 02 Sep 26; 16:10) | YTO Express (600233.SS; Rmb16.6; 2; 02 Sep 26; 15:00) | YUNDA Holding (002120.SZ; Rmb6.82; 3; 02 Sep 26; 15:00) | Zhejiang Huace Film & TV (300133.SZ; Rmb7.52; 1; 02 Sep 26; 15:00) |

ZHIHU (ZH.N; US\$2.58; 1H; 02 Sep 26; 16:00) | ZTO Express (Cayman) (ZTO.N;
US\$20.96; 1; 02 Sep 26; 16:00)

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Appendix A-1

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The Firm has made a market in the publicly traded equity securities of Meitu, Inc. on at least one occasion since 1 Jan 2025.

The Firm has made a market in the publicly traded equity securities of Tencent Holdings Limited on at least one occasion since 1 Jan 2025.

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